

Tuesday, March 10, 2026

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LPG curbs kick in as oil roars past \$100

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mint primer

Claude@war: Is AI reshaping the face of conflict?

BY SHOUVIK DAS

Anthropic's Claude has reportedly sharpened strikes by the US military in the West Asia war, raising conversations around AI turning into killing machines and going against pledges by Big Tech. Is this an inflection point for AI policy worldwide? *Mint* explains.



1 How has the US used AI in Iran war so far?

A report by US security research firm Soufan Center underlined that the US Department of War (formerly Department of Defense) used Anthropic's Claude, embedded in Palantir's battlefield intelligence suite Maven Smart System, to identify sharp targets during its strikes on Iran, called Operation Epic Fury. The uses also included simulating battlefield situations and strategies. At the same time, DoW also signed a deal with fellow AI maker OpenAI to use its GPT foundational models in future conflicts. It isn't clear whether GPT has already been deployed and is in use, as much of wartime tools remains classified.

2 Were AI models built specifically for war?

Not as per public disclosures. *Mint's* examination of US DoW statements and public documents show that Palantir's battlefield intelligence system was the primary interface for using Claude, which was commercially used by the latter for attacks that have so far killed over 1,200 people in Iran. But Anthropic's 84-page 'constitution' for Claude clearly states even now that it will not be used for "actions that are inappropriately dangerous or harmful." OpenAI chief Sam Altman on 27 February said his company's DoW deal includes "human responsibility for the use of force, including for autonomous weapon systems."

3 Is this the first use of AI on battlefields?

Not really. Guided missiles and drones have been using machine learning, object recognition and computer vision. But criticism has surfaced now because of AI models' ability to recognize sophisticated patterns swiftly, and identify strategic weaknesses in the real world. Massive compute availability further accelerates the ability to carry out surgical strikes.

4 What does this mean for AI policies?

Geopolitics consultants have called for audits of tech companies building AI models, and possible globally binding policy agreements, akin to 1968's nuclear non-proliferation treaty. While OpenAI has claimed it has voluntarily drawn 'red lines', questions remain on whether nations in leadership positions of AI, such as the US, China and even India, should work toward disarmament clauses for the use of AI in war. This, though, may not prevent the use of AI in defensive battlefield intelligence.

5 Can uncontrolled AI turn 'killer machines'?

The possibility is real. AI models are adept at learning visual patterns very fast. They can, at least theoretically, identify targets that humans indicate as threats. Such usage has already played out in the ongoing conflict, leading to concerns around the rise of autonomously operational machines that can strike remotely and at will. With vast private funds and increasing revenue generation, any firm building foundational AI can provide the basis for swarms of strike drones and planes, to any country.

QUICK EDIT

China's price woes

China is just managing to keep retail deflation at bay. Official data for February released on Monday showed that its consumer price index rose 1.3% from a year earlier. In January, it had recorded a rise of just 0.2%. The February reading marked a near three-year high. For this, it has an extended Lunar New Year break to thank, as this is a season that tends to see better spending. Of course, this also raises the question of whether deflationary pressures will rise again once that effect wears off. Note that China's producer price index has been negative for a prolonged period. Last month, it posted a 0.9% year-on-year drop. All this indicates that domestic demand remains painfully weak, even as Beijing struggles to tackle what it calls 'involution,' its term for intense competition that doesn't result in progress, and tries to reduce its dependence on exports for economic expansion. Its GDP target for 2026 is just 4.5-5%, the lowest since 1991. Even if the Iran war's oil shock helps it sustain positive inflation readings, its problem of overcapacity and under-consumption is likely to persist. A robust retail-spending stimulus may be Beijing's best bet. Its 2026 fiscal deficit target, at 4% of GDP, isn't too large.

QUOTE OF THE DAY

The turmoil we are witnessing today in the Middle East makes it evident that we are facing a global energy system largely tied to fossil fuels—where supply is concentrated in a few regions and every conflict risks sending shock waves through the global economy

ANTÓNIO GUTERRES
 UN SECRETARY-GENERAL



INSIDE

Mark to Market | Will Bharat Forge rally sustain? **>P4**

Global | The long-feared Persian Gulf oil squeeze is upon us **>P8**

Money | Multi-asset FoFs add a new twist to diversification: do they add value? **>P11**

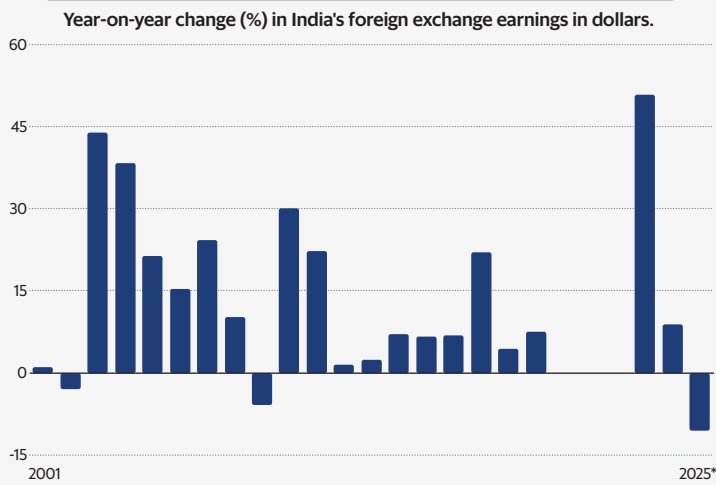
Views | Oil shock shudders need not scare equity holders **>P12**

Views | Consumption moves in leaps as Indian homes increase earnings **>P13**

mint | DATA BITES

TOURISM FOREX EARNINGS HIT TURBULENCE IN 2025

India's foreign exchange earnings from tourism fell 10.5% year-on-year in 2025 amid a weaker rupee. This is the worst annual performance at least since 2001, excluding the covid-hit years.



Data: Rupanjal Chauhan;
 Graphic: Manu Choudhary



EDITOR'S NOTE

Dear Subscriber,

I have a request. We want to understand your needs better so we can tailor our offerings to better serve you. We have prepared a short interview that will help us know your expectations from us better. Go to <https://bit.ly/mintsurvey2026> or scan this QR code. It takes less than 10 minutes. If you would like to share thoughts, ideas or feedback, please write to feedback@livemint.com. Looking forward to your response.

Sincerely,
 — Ravi Krishnan
 Editor-in-Chief

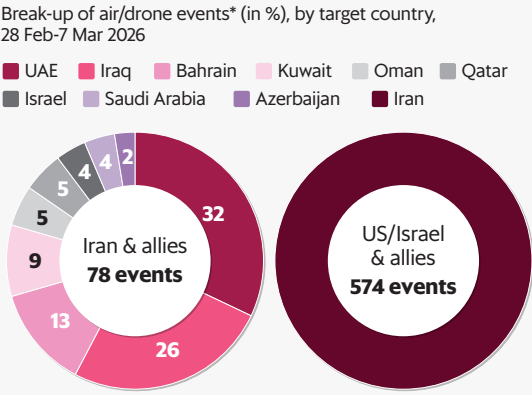


TOP GLOBAL NEWS A MONTHLY WRAP

BY RUPANJAL CHAUHAN & NANDITA VENKATESAN

Every month, *Mint* Plain Facts brings out an update on key global data to thread together the biggest developments in the world that are worth paying attention to. The accompanying analysis and charts explain how each story is creating ripples on the global stage, where it is headed in the coming weeks, and whether it can impact India. The biggest story is currently the escalating war in West Asia. The ripple effects of the war can be felt during upcoming monetary policy decisions, which may lead to interest rate pause amid uncertainty. Meanwhile, China has lowered its growth ambitions, investor sentiments are split for technology stocks, and all eyes will be on the Academy Awards winners.

Fewer strikes, more countries: Iran's war strategy to counter US-Israel offensive



*As reported by independent global conflict monitor Acled (Armed Conflict Location & Event Data), which may include multiple strikes as part of one event.
Source: Acled, Mint calculations



SURVIVAL STRATEGY

AFTER US and Israel's air strikes on 28 February killed Iran's supreme leader Ayatollah Ali Khamenei, the West Asian nation has been fighting a high-risk survival war. It has responded to the offensive, mostly targeting its capital Tehran, by attacking nearly all nearby Gulf countries. Iran said it was attacking these countries in retaliation, targeting mainly US and Israeli assets. However, Iran's attacks have involved several civilian and high-profile sites like the Dubai International Airport. Data by Acled (Armed Conflict Location & Event Data) shows that Iran has been involved in fewer air and drone events (may contain multiple strikes) compared to the US-Israel. However, its aggressive strategy to expand chaos across all neighbouring nations, particularly the UAE, has stopped the US-Israel from claiming an easy victory in West Asia. While Iran is fighting for its survival, the escalation of war could choke the oil and gas supply, with prices already surging to high levels. This could potentially prompt countries to seek a quicker end to the war.

POLICY PAUSE

SEVERAL MAJOR central banks are set to announce their monetary policy decisions in March and April, under the cloud of war-related uncertainty in West Asia. Most of them are widely expected to be in wait-and-watch mode, including India, keeping interest rates unchanged amid rising geopolitical risks and an energy price shock. Many of these central banks have already cut rates aggressively since January 2025, giving them little room to offer more easing. The US Federal Reserve is likely to hold rates steady even as policymakers are in a difficult position: keep borrowing costs unchanged to prevent inflation from worsening, or cut rates to support a job market that is showing signs of weakness. India is expected to be on pause for long, channelling its focus more towards liquidity. The UK was widely expected to cut rates amid a weak economic outlook, but rising energy prices may lead to a pause. Japan, which was expected to hike earlier, may choose to pause amid the crisis.

Several central banks now have more reasons to pause amid West Asia conflict

Countries	Policy rate (%)*	Rate change**	Outlook
India	5.25	125 bps	Pause
UK	3.75	100 bps	Pause
US	3.75	75 bps	Pause
China	3	10 bps	Pause
EU	2.15	75 bps	Pause
Japan	0.75	25 bps	Pause

*Current rate. **Since Jan 2025.
Source: Central banks of respective countries, Trading Economics



China's 2026 growth target is the lowest since 1991 as economic headwinds persist



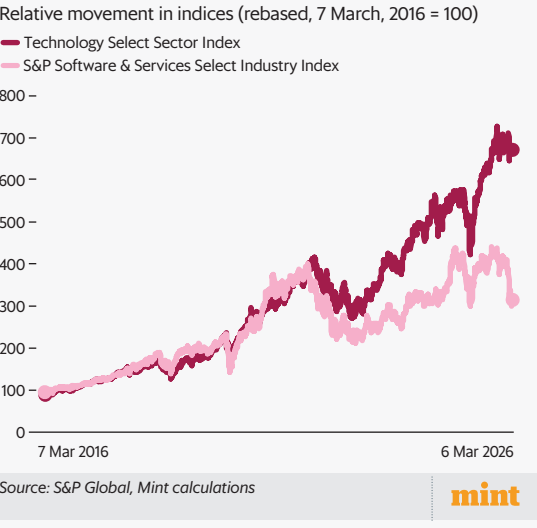
DRAGGING DRAGON?

AFTER THREE decades of astonishing growth that made China a superpower, it is slowing down. For the first time since 1991, China has set its growth target below 5% (4.5-5%) for 2026 amid weak domestic consumption and a fragile global environment. The Chinese authorities have dubbed lower ambitions as shifting focus toward "high-quality growth", anchored on high-tech industries. This strategy aims to harden supply chains against external shocks, while managing a difficult transition from an export-reliant engine to one fuelled by domestic consumption. Ultimately, the lower target provides policymakers with the necessary flexibility to prioritize structural reforms and prevent risks from the pursuit of raw, unsustainable expansion. So far, China has a stellar record in meeting its growth targets, which has enabled it to amass nearly a fifth of the world's gross domestic product (GDP). The pivot towards high quality growth also signals the dragon's attempt to avoid the middle-income trap.

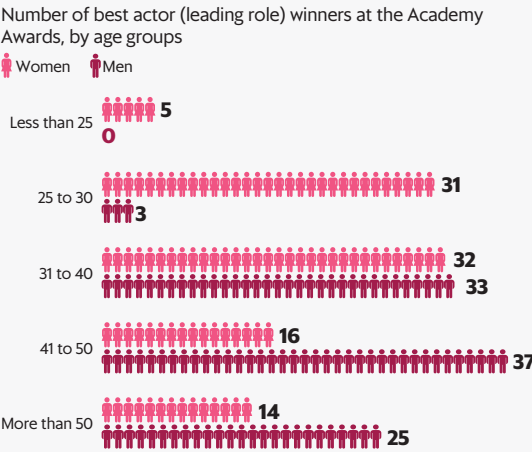
SPLIT SENTIMENT

AI IS beginning to shake the global software industry. Since early January this year, stocks of top software companies globally have fallen sharply as investors worry that AI could take over many functions traditionally performed by software firms. The launch of new AI agents and plugins by companies like Anthropic (specifically Claude's 'Cowork' tools) has sparked fears that AI can automate complex tasks, reducing the need for traditional, per-seat enterprise software. The S&P 500 software index has declined nearly 15% year-to-date in 2026. In contrast, the S&P technology select sector index, which includes giants like Nvidia, Apple, and Microsoft, has declined only 5%. The two-speed sell-off has also opened up a clear divergence between two segments: legacy software companies and technology companies. Data shows that markets broadly valued companies in these two groups similarly until 2021-2022, but investor sentiments began splitting as AI became mainstream with the launch of ChatGPT in 2022.

Investor sentiments are split for IT sector, with AI-related companies pulling ahead



Older men and younger women: Oscar for best actor shows gendered age bias



OLD VS YOUNG

THE 98TH Academy Awards are set to be held on 15 March, with Timothée Chalamet emerging as the frontrunner for his performance in *Marty Supreme*. At 30 years of age, Chalamet's win could become one of the rare Oscar moments: so far, only three male actors have won an Oscar for a lead role at 30 or less. The Academy Awards are known to reward younger women and older men, at least in the lead actor category. Data shows that since the inception of the award in 1929, five women have won under the age of 25, while no men have won in this category. Between the ages of 25 and 30, only three men have won, while the number for women is 10 times more at 31. While the gender age bias may reduce Chalamet's probability of winning this year, older women are also at the receiving end, with fewer women than men winning the award after the age of 50. However, the gender gap has reduced in recent years, with women winners in the 2020s being only 4.5 years younger than men compared to around 10 years in earlier decades.

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The 3-speed ageing facing Indian states

P10

India's World Cup win raises prospects for top players

P5

LPG curbs tightened as oil roars past \$100

Supply constraints likely; G-7 may open strategic crude reserves

Rituraj Baruah

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NEW DELHI

India has tightened access to domestic cooking gas, as the escalating conflict in West Asia threatens fuel supplies and drives volatility in global energy markets.

The Centre has prioritized household LPG (liquefied petroleum gas) consumption, and introduced a lock-in period between cylinder bookings, two people aware of the matter said.

“The priority for LPG supply in this situation is domestic consumers. Further, in order to curb hoarding of cooking gas, a 25-day lock-in period has been implemented,” one of the two people mentioned above said on condition of anonymity. The earlier lock-in period was initially around 15 days, which was raised to 21 days last week.

As reported by *Mint*, the ministry of petroleum and natural has also asked refiners to increase LPG production by diverting feedstock from the manufacture of non-essential products. The measures come amid a sharp surge in global oil prices that is raising concerns of wider disruption across the energy supply chain. On Monday, Brent crude prices surged over 25% to cross the \$100-per-barrel mark for the first time in four years. As of press time, Brent was trading at \$99.73, after G-7 nations expressed readiness to release oil reserves to stabilize supply.

The Federation of Hotel and Restaurant Association of India (FHRAI) has flagged the shortage of commercial cooking gas and sought government intervention, *PTI* reported. The associa-

BATTLE BLUES

The measures come amid a sharp surge in global oil prices that is raising concerns of wider disruption across the energy supply chain.

Crude oil (in \$/bbl)

73.9101.8

27 Feb 20269 Mar 2026

Nifty 50

25,178.724,028.1

27 Feb 20269 Mar 2026

Source: Bloomberg

mint

STRAIT SCARS

INDIA, one of the largest LPG importers, relies a lot on West Asia supplies

GOVT has implemented a 25-day lock-in period for booking of cylinders

REFINERIES have been asked to up production of domestic cooking gas

SATISH KUMAR/MINT

Market gets a bloody nose

Dipti Sharma

dipti.sharma@livemint.com

MUMBAI

The West Asia crisis hammered stocks worldwide on Monday, with Indian markets closing at their lowest levels in at least 10 months. The ascent of hardliner Mojtaba Khamenei as the Supreme Leader of Iran raised fears of a pro-

tracted war, disrupting oil transit and damaging oil assets in the region.

After opening nearly 3% lower, markets clawed back some of the losses, with the Nifty closing 1.73% lower at 24,028.05, its lowest level since 9 May, and the Sensex 1.71% lower at 77,566.16, its lowest since 16 April. As crude prices surged past

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TURN TO PAGE 6

Inflation, fuel price under cloud of war

Gloomy days for range of sectors

Pragya Srivastava

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NEW DELHI

The worst-case scenario in the oil market appears to be unfolding: Brent crude has breached \$100 per barrel as the conflict involving the US, Israel, and Iran continues to escalate. The crude prices are now past the point where their impact on fuel prices and inflation cannot be ignored, especially if they

Dipali Banka, Nehal Chaliawala & Soumya Gupta

MUMBAI

stay elevated for long. The war in West Asia is far more consequential for the oil and gas market than the Russia-Ukraine war.

Mint calculations of relative movement in petrol, diesel, and crude prices show that the recent surge in Brent crude is tracking much above the fuel levels, signaling that price hikes may be needed to avoid losses. The government has so far indi-

for feedstock. Fertilizer prices may rise, given the country's dependence on West Asia. The ceramics industry banks on LNG and propane to fire kilns. Paints sector uses crude-linked derivatives. For FMCG firms, oil prices directly influence transport costs, as well as raise the costs of oil derivatives, such as plastic packaging and paraffin and mineral oils. *Mint* takes a bird's eye view of the war's impact on various sectors.

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DON'T MISS

Tender for e-buses deferred

Global firms expand AI teams

War worries flip oil futures

The Centre's second e-bus tender under PM E-Drive scheme, for 2,900 e-buses in Pune, Ahmedabad, Hyderabad and Mumbai, and 3,330 buses in Delhi has been deferred. >P2

Two of the world's largest pharma firms, a chemical manufacturer and an auto giant have established internal AI teams and opened centres to increase automation. >P3

Signs of distress are flashing in the futures market for crude oil as traders jostle to lock in barrels early rather than wait for later, as the West Asia conflict escalates. >P4

Law firms field force majeure queries

Krishna Yadav

krishna.yadav@livemint.com

NEW DELHI

As the conflict in West Asia has nearly frozen all trade movement through the Strait of Hormuz, Indian law firms have seen a surge in queries from companies seeking clarity on whether they can invoke a rare clause to mitigate risk—force majeure.

It is a contractual provision that allows a party to suspend or avoid its obligations if an unforeseen event outside its control makes performance impossible. These may include war, government restrictions or major disruptions to shipping routes, if specifically covered in the contract.

Clients want clarity on whether West Asia developments fall within the scope of force majeure clauses in their contracts. ISTOCKPHOTO

“The energy sector is reaching out the most, especially companies importing LNG (liquefied natural gas) and crude who now face stranded cargoes and unreliable shipping schedules,” said Charanya Lakshmikumaran, executive partner at Laxmikumar & Sridharan (LKS).

“The shipping and logistics sector is next, dealing with mounting delays, higher war-risk premiums and rerouted

vessels,” she said. “Indian manufacturers, EPC (engineering, procurement and construction) contractors and large import-dependent businesses have also begun seeking advice due to rising supply-chain uncertainty.”

The queries mirror global panic as the Brent has spiked above \$100 a barrel for the first time since 2022 after the US and Israel's joint strikes on Iran evoked retaliatory missile and drone attacks by Tehran across the Persian Gulf region. That has almost disrupted ship movement through the Strait of Hormuz, a chokepoint between Iran and Oman that carries roughly one-fifth of the world's oil consumption and

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MINT SHORTS

Indonesia signs agreement with India to procure BrahMos missiles

Jakarta: Indonesia has entered an agreement with India to procure the BrahMos missile system, its defence ministry spokesperson Rico Ricardo Sirait told Reuters on Monday. In 2023, BrahMos told *Reuters* it was in advanced discussions with Jakarta on a deal worth \$200 million to \$350 million. Rico said the agreement was “part of the modernization of military hardware and defence capabilities, especially in the maritime sector.”**REUTERS**

Govt buys back ₹6,309 crore G-secs in RBI's switch auction



Mumbai: The government has bought back G-secs worth ₹6,309 crore from the switch auction conducted by the Reserve Bank of India (RBI), and has issued bonds worth ₹6,431.797 crore, according to a release. Government securities (G-Secs) are low-risk debt instruments that are issued by the government and offer fixed returns and are backed by a sovereign guarantee. **PTI**

DGCA enhances monitoring of airlines to ensure compliance

New Delhi: The civil aviation ministry on Monday said the DGCA has increased monitoring on a weekly and fortnightly basis for critical operations of airlines along with bi-monthly visits by the watchdog's inspector at the airlines' offices to ensure their compliance with regulations. “DGCA has introduced more robust measures to ensure compliance by airlines with regulations,” Union minister Murlidhar Mohol said. **PTI**

Over 24,000MW of coal, lignite power in planning stage: Govt



New Delhi: Over 24,000MW of coal and lignite-based power generation capacity is at various stages of planning in the country, Parliament was informed on Monday. A total of 39,545MW of thermal capacity (including 4,845MW of stressed thermal power projects) is currently under various stages of construction, Union minister Shripad Naik said in a written reply to Rajya Sabha. **PTI**

Over 161,000 water samples found contaminated in 2025-26: Govt

New Delhi: As many as 161,000 samples of water out of nearly 6.4 million tested across the country in 2025-26 were found to be contaminated, the Rajya Sabha was informed on Monday. In a written reply, minister of state for jal shakti V. Somanna said that more than 5.9 million samples were tested during the year 2023-24, and over 8.2 million samples during 2024-25 in drinking water quality testing laboratories. **PTI**

Over 11.1 mn trained, 2.4 mn placed under skill training programme

New Delhi: More than 11.1 million candidates were certified under a skill training programme in the seven years up to FY23 and over 2.4 million people have been reported placed for mandatory on-the-job training by the end of FY25, the government informed Parliament. About 1.46 million SC candidates and 508,000 ST candidates were certified, with 374,000 SC and 127,000 ST candidates placed, the ministry of skill development and entrepreneurship said on Monday. **DHIRENDRA KUMAR**

After 48 years, India revises piston ring standards to curb emissions

Dhirendra Kumar & Manas Pimpalkhare

NEW DELHI

The Centre has issued an order that updates norms for piston rings—a key component of internal combustion engines (ICE)—to help reduce carbon emissions, replacing standards that had been in place since 1977. The new standards came into effect on 10 February, said the order dated 12 February. Experts said the cost impact for most automakers was likely to be limited, as many already follow similar global specifications. However, smaller component manufacturers may need to upgrade materials and testing processes to comply with the new norms, they said. Piston rings help reduce emissions by ensuring fuel burns cleaner and efficiently, so these updated specifications by the Bureau of Indian Standards (BIS) are a significant development for the world's third-largest automobile market. These rings have an important role to play in controlling the amount of lubricating oil on the cylinder wall, ensuring that excess oil is scraped back into the crankcase while maintaining enough lubrication for

smooth engine operation. The transport sector accounts for around 14% of India's GHG and particulate matter emissions. The updated standards incorporate revised dimensional tolerances, material requirements and testing procedures, and are part of the government's plan to bring conventional ICE vehicles on par with global standards, said a government official who did not wish to be named. They said the need for new standards stems from developments in engine design, materials science, emission norms, and higher fuel-efficiency needs. The revised specifications are also aligned with internationally accepted engineering and quality benchmarks, and will make Indian automotive components easier to compare and integrate with global supply chains, the official said. Earlier standards under IS 8422 (parts VI, VII and VIII) covered different types of slotted oil control rings for internal combustion engines. These will be withdrawn on 10 August 2026, giving manufacturers a six-month transition period. Queries sent to the BIS, and Maruti Suzuki, Tata Motors, Mahindra & Mahindra, Hyundai, and Kia remained unanswered till press time. India's auto parts industry, worth about \$116 billion in 2026 according to Mordor Intelligence, is largely made up of micro and small enterprises. “For MSME manufacturers, updating these standards is important as it helps align their

Tender for 6,230 electric buses deferred by a month

The earlier 10,900 e-bus tender was deferred thrice before bids closed in November

Ayaan Kartik & Manas Pimpalkhare

The Centre's second e-bus tender under the ₹10,900 crore PM E-Drive scheme, for 2,900 e-buses in Ahmedabad, Hyderabad, Pune, and Mumbai, and 3,330 buses in Delhi has been deferred by one month.

The tender for 6,230 e-buses opened for manufacturers and operators on 9 January this year, and was scheduled to close on 10 March. But a 6 March notification by Convergence Energy Services Ltd (CESL), the government's demand aggregation agency, showed the closing date was deferred to 9 April. CESL did not attribute reasons for the deferral.

The PM E-Drive scheme has an allocation of ₹4.391 crore towards subsidies for 14,028 e-buses in nine cities. While 3,330 buses for Delhi under this tender will not be subsidised, the government will cover 20-35% of the cost of procuring the remaining 2,900 e-buses in four cities.

This is the fourth time an e-bus tender under the PM E-Drive scheme was deferred. The previous tender for 10,900 e-buses under the scheme was deferred thrice, with bids closing in November 2025 instead of August. CESL is responsible for demand aggregation and tendering of 14,028 e-buses under the scheme. CESL, the ministry of heavy industries, which operates the scheme, and e-bus makers Ashok Leyland, Tata Motors, Eka Mobility, JBM Auto, PMI Electro and Olectra Greentech did not immediately respond to emailed queries.

An industry executive suggested that the delays on tenders have become routine, which is not ideal given the pace of electrification needed. “We are ready to meet the demand and participate but the delay has once again come into the picture,” the executive said, speaking on the condition of anonymity. Pune-based busmaker Eka Mobility had confirmed to *Mint* in January that it



The tender for 6,230 e-buses opened for manufacturers and operators on 9 January this year, and was scheduled to close on 10 March.

would participate in this tender. The second PM E-Drive scheme tender for 6,230 e-buses comprises eight lots spread across the five cities. Delhi, grappling with severe air pollution, will get the largest allocation of 3,330 electric buses through this round of procurement, showed the tender document, reviewed by *Mint*.

After Delhi, Mumbai will receive 1,500 buses, Pune 1,000, while Hyderabad and Ahmedabad will each get 200 each. These buses, excluding the ones in Delhi, will be subsidised. The demand spans multiple configurations, including 7-metre, 9-metre and 12-metre electric buses, both AC and non-AC. To participate in all cities, bidders must pay earnest money of ₹134 crore. High earnest money costs, stringent exit clauses, and infrastructural inadequacy in state government bus stations were the reasons why the earlier tender was delayed, *Mint* reported in November. Electric buses typically cost ₹1-1.5 crore. Assuming an average price of ₹1 crore per unit, the tender could likely be worth more than ₹6,000 crore. Electric bus makers participate in tenders through fleet operators who are responsible for procuring the electric buses and running them for the respective city/state transport authorities. This way, automakers avoid holding electric buses on their own balance sheet and can focus on manufacturing operations only, while fleet operators don't have to invest in making the buses. Buses are instead held on the balance sheets of operators or financiers. Subsidies under this scheme are transferred to state transport agencies procuring e-buses. These agencies then transfer subsidies to manufacturers and operators. This comes when electric bus sales are rising. Total registrations of e-buses in the country have increased from 1,988 in 2022 to 4,408 in 2025, with automakers preparing to meet rising demand. *ayaan.kartik@livemint.com* For an extended version of the story, visit *livemint.com*.

tries, which operates the scheme, and e-bus makers Ashok Leyland, Tata Motors, Eka Mobility, JBM Auto, PMI Electro and Olectra Greentech did not immediately respond to emailed queries.

An industry executive suggested that the delays on tenders have become routine, which is not ideal given the pace of electrification needed. “We are ready to meet the demand and participate but the delay has once again come into the picture,” the executive said, speaking on the condition of anonymity. Pune-based busmaker Eka Mobility had confirmed to *Mint* in January that it

would participate in this tender. The second PM E-Drive scheme tender for 6,230 e-buses comprises eight lots spread across the five cities. Delhi, grappling with severe air pollution, will get the largest allocation of 3,330 electric buses through this round of procurement, showed the tender document, reviewed by *Mint*.

After Delhi, Mumbai will receive 1,500 buses, Pune 1,000, while Hyderabad and Ahmedabad will each get 200 each. These buses, excluding the ones in Delhi, will be subsidised. The demand spans multiple configurations, including 7-metre, 9-metre and 12-metre electric buses, both AC and non-AC. To participate in all cities, bidders must pay earnest money of ₹134 crore. High earnest money costs, stringent exit clauses, and infrastructural inadequacy in state government bus stations were the reasons why the earlier tender was delayed, *Mint* reported in November. Electric buses typically cost ₹1-1.5 crore. Assuming an average price of ₹1 crore per unit, the tender could likely be worth more than ₹6,000 crore. Electric bus makers participate in tenders through fleet operators who are responsible for procuring the electric buses and running them for the respective city/state transport authorities. This way, automakers avoid holding electric buses on their own balance sheet and can focus on manufacturing operations only, while fleet operators don't have to invest in making the buses. Buses are instead held on the balance sheets of operators or financiers. Subsidies under this scheme are transferred to state transport agencies procuring e-buses. These agencies then transfer subsidies to manufacturers and operators. This comes when electric bus sales are rising. Total registrations of e-buses in the country have increased from 1,988 in 2022 to 4,408 in 2025, with automakers preparing to meet rising demand. *ayaan.kartik@livemint.com* For an extended version of the story, visit *livemint.com*.

India urges dialogue for West Asia peace

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India on Monday advocated de-escalation of tensions in West Asia and called for dialogue and diplomacy to resolve all underlying issues, as it put the safety of around one crore Indians in the region as its top priority, along with securing energy security and trade. The US and Israel launched a military attack on Iran on 28 February, and killed its 86-year-old Supreme Leader Ayatollah Ali Khamenei. Making a suo-motu statement in Parliament, external affairs minister S. Jaishankar said New Delhi stood for maintaining the sovereignty and territorial integrity of all states in the region. He defended allowing the Iranian ship to dock at an Indian port as the right decision taken on humanitarian grounds. He said the Indian government has been constantly monitoring the evolving situation in the region at the highest level and has already brought back 67,000 stranded Indians from the conflict zone. “India is in favour of peace and urges a return to dialogue and diplomacy. We advocate de-escalation, restraint, and ensuring the safety of civilians,” he said in identical statements in the Lok Sabha and Rajya Sabha. “The well-being and security of the Indian community in the region is our priority. And our national interests, including energy security and trade, will always be paramount,” he said. In both houses, the Opposition staged vociferous protests as Jaishankar rose to make his statement, demanding that a full-fledged discussion should precede his statement on the situation in West Asia. While the Opposition staged a walk-out in the Rajya Sabha, they forced the Lok Sabha to be adjourned amid noisy scenes.

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India put the safety of around one crore Indians in the region as its top priority, along with energy security and trade

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Will US-Iran war drive bio-bitumen use?

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NEW DELHI

India builds some of the world's fastest expanding highway networks but depends on imports for a large share of the bitumen used to bind asphalt. The country needs about 9 million tonnes of bitumen each year for road construction. In FY25, domestic production was 5.3 million tonnes, with the rest imported—largely from West Asia, a region currently facing conflict. Bio-bitumen, an alternative derived from biomass, could replace up to a third of petroleum-based bitumen. *Mint* explains.

The country needs about 9 million tonnes of bitumen each year for road construction. In FY25, domestic production was 5.3 million tonnes, with the rest imported—largely from West Asia, a region currently facing conflict. Bio-bitumen, an alternative derived from biomass, could replace up to a third of petroleum-based bitumen. *Mint* explains.

How is bio-bitumen different from petroleum-based asphalt? Conventional bitumen is a heavy residue left after crude oil is refined into fuels such as petrol and diesel. It acts as the binding material in asphalt. Bio-bitumen is produced from biomass-derived materials rather than crude. The most common feedstocks include lignin (a plant-based polymer), vegetable oils, forestry residues and agricultural waste such as rice straw. These are converted



India needs about 9 million tonnes of bitumen each year for road construction.

through technologies like pyrolysis into bio-oil and other compounds that can be refined into asphalt binders. Indian government research body CSIR-Central Road Research Institute (CSIR-CRRI) has been developing bio-bitumen formulations using crop residues like paddy straw, which could also address the problem of agricultural waste burning. CSIR-CRRI piloted its paddy straw-based bio-bitumen in October 2024 on NH6 Jorabat-Shillong Expressway. It showed “satisfactory field performance under traffic”, it said. The institute said using paddy straw-based bio-bitumen could result in annual forex savings of ₹4,000-4,500 crore, and cut greenhouse emissions on road construction by 70%.

India imports bitumen worth ₹25,000-30,000 crore annually, according to a department of science and technology statement. **Is bio-bitumen more expensive than petroleum-based asphalt?** Petroleum-based bitumen

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costs ₹50 per kg, while that of paddy straw-based bio-bitumen was ₹40 per kg, according to road transport and highways minister Nitin Gadkari in the Rajya Sabha in August 2024.

Will supply risks from West Asia accelerate India's shift toward bio-bitumen? India's import dependence is not limited to bitumen shipped from West Asia. The dependence also lies in crude oil imports, which are used in domestic refineries, where bitumen is a byproduct.

Jagannarayan Padmanabhan, senior director & global head—consulting, Crisil Intelligence said Indian highway builders are already facing bitumen price hikes, which could command a harder look at other options. **What challenges could slow the adoption?** Bio-bitumen is still at an early stage of testing and commercial adoption. Bio-bitumen derived from rice straw can be chemically different from that produced from wood waste or other biomass, which may complicate efforts to develop uniform technical standards for its use in road construction. For an extended version of this story, go to *livemint.com*.

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BSE Sensex			Nifty 50			Nifty 500			Nifty Next 50			Nifty 100			BSE 150 MidCap			BSE 250 SmallCap		
CLOSE	77,566.16	PERCENT CHANGE -1.71	CLOSE	24,028.05	PERCENT CHANGE -1.73	CLOSE	22,056.55	PERCENT CHANGE -1.89	CLOSE	66,070.65	PERCENT CHANGE -2.08	CLOSE	24,685.65	PERCENT CHANGE -1.79	CLOSE	15,201.97	PERCENT CHANGE -1.98	CLOSE	5,954.27	PERCENT CHANGE -2.46
PREVIOUS CLOSE	78,918.90	OPEN 77,056.75	PREVIOUS CLOSE	24,450.45	OPEN 23,868.05	PREVIOUS CLOSE	22,481.30	OPEN 21,995.15	PREVIOUS CLOSE	67,476.65	OPEN 66,198.25	PREVIOUS CLOSE	25,134.90	OPEN 24,556.75	PREVIOUS CLOSE	15,508.72	OPEN 15,241.78	PREVIOUS CLOSE	6,104.32	OPEN 5,999.98
HIGH	77,711.35	LOW 76,424.55	HIGH	24,078.15	LOW 23,697.80	HIGH	22,090.70	LOW 21,743.15	HIGH	66,202.40	LOW 64,998.80	HIGH	24,733.15	LOW 24,338.75	HIGH	15,243.80	LOW 14,958.64	HIGH	6,000.00	LOW 5,881.23

Will Bharat Forge rally sustain?

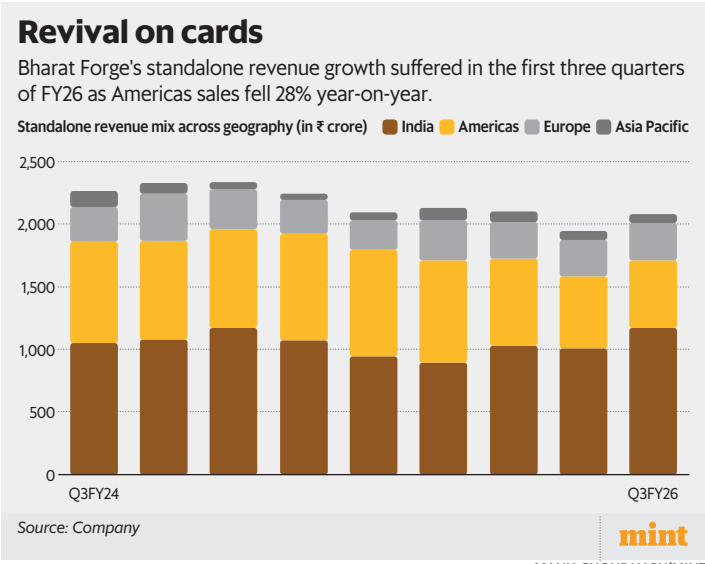
Manish Joshi
feedback@livemint.com

Bharat Forge Ltd stock hit an all-time high of ₹1,935.50 on Friday. It's up almost 27% so far in 2026, making it the best performer in the Nifty Auto index. Ashok Leyland Ltd is a distant second, up 4%. The auto index itself is down 8% over this period.

Both stocks are a play on the commercial vehicle (CV) upcycle in India, so what explains Bharat Forge's solid beat?

The stock's recent rally began after the Indo-US trade deal announced on 2 February slashed US tariffs on Indian imports from 50% to 18%. It could drop further to a maximum of 15%, and that too for 150 days at most, following the US Supreme Court's annulment of some of the Trump administration's tariffs.

The tariff reduction brings huge relief to Bharat Forge, which took a ₹69 crore hit to its earnings because of tariff absorption in the nine months to



December (9MFY26) when its profit before tax was ₹1,211 crore. Sales volumes also suffered owing to inventory destocking in the US's CV industry over tariff uncertainty. Consequently, Bharat Forge's 9MFY26 export revenue declined 28% year-on-year to ₹1,809 crore in the American

continent.

The outlook for the CV industry in North America has improved, signalling better days ahead for Bharat Forge's exports. The industry's barometer in North America is class 8 trucks, commonly known in India as heavy commercial trucks. Preliminary data from FTR Intelli-

gence showed North America's net orders of class 8 trucks jumped to 47,200 units in February, substantially higher than the month's 10-year average of 24,991 units. This translates to 159% year-on-year growth and 47% month-on-month growth.

The CV upcycle in India and North America are thus twin growth engines for Bharat Forge, apart from the lower US tariffs. However, this mainly applies to the company's auto business, which Bharat Forge is shifting away from. Domestic auto sales and exports are likely to contribute 47% of FY26 standalone revenues, down from 53% in the pre-US-tariffs era in FY24.

There could also be headwinds in the non-auto business that offset the tailwinds in auto. Nomura Financial Advisory and Securities (India) noted that revenue growth at Bharat Forge's key non-auto

business clients such as Volvo, Daimler and Cummins remains under pressure.

Even in the auto business, demand for forging components could drop if there is a substantial transition from internal-combustion-engine (ICE) trucks to electric trucks.

Risks in the non-auto business and technological risks in auto should push investors to assess whether the rally in Bharat Forge stock has already captured most of the positives. Nomura's analysts estimate the company's FY28 Ebitda at ₹4,541 crore, or 55% growth over FY26.

Bharat Forge's shares fell around 3% on Monday amid the broader market carnage to ₹1,862.30. This is already higher than Nomura's target price of ₹1,844, which it arrived at by using an EV/Ebitda multiple of 20 times for FY28.

TARIFF TAILWIND

BHARAT Forge's recent rally began after the Indo-US trade deal on 2 February

THE tariff cut brings huge relief to Bharat Forge, which took a ₹69 crore hit in its 9MFY26 earnings

Markets get bloody nose as West Asia war hits oil supply

FROM PAGE 1

\$100 a barrel, the Nifty logged its biggest single-day fall since 1 February.

By the end of the day, the market capitalization of companies listed on the BSE was down by ₹8.47 trillion.

As of press time, Brent had fallen below \$100, after G-7 nations expressed readiness to release oil reserves.

BSE provisional data showed that foreign institutional investors net sold Indian equities worth ₹6,346 crore on Monday while DIIIs bought shares worth ₹9,014 crore.

The spike in uncertainty was reflected in the fear index India Vix, which surged about 22% before closing 17.5% higher.

Technical analysts said there was intense selling pressure. The index formed a strong bearish candle with a lower high-lower low pattern, indicating sustained selling pressure as Brent crude surged. Rajesh Palviya, SVP research (head technical & derivatives) at Axis Securities, said in a report.

"A sustained break below 24,000 could trigger a deeper correction. On the upside, a decisive move above the bearish gap zone of 25,000-25,141, formed on 2 March 2025, is essential for bulls to regain control," he said.

Asian markets were not spared, either. Japan's Nikkei 225 slumped 5.2%, Hong Kong's Hang Seng dropped 1.49%, the Taiwan Weighted tanked 4.43%, and South Korea's Kospi was 5.96% down.

Nikunj Doshi, chief investment officer of portfolio management services at Bay Capital, said the crisis may spark a wave of earnings downgrades as businesses will find it diffi-



Nifty closed 1.73% lower at 24,028.05. REUTERS

cult to pass on cost escalations.

"The extent of earnings impact will, however, be known only after some clarity emerges on the price stabilization in commodity prices. We don't know as of now where all the commodities prices will settle," Doshi said.

Businesses driven by domestic demand will be better off in the current scenario, he added. Consumption and defence-related sectors look better placed. Doshi said it will take a few

The spike in uncertainty was reflected in the India Vix, which surged about 22% before closing 17.5% higher

weeks, or perhaps months, even after the war is over, for things to get normal.

Among sectoral indices, the Nifty Auto and Nifty PSU Bank fell the most, each declining by about 4%.

The Nifty Midcap 100 and the Nifty Smallcap 250 settled about 1.97% and 2.33% lower, respectively.

Among the biggest laggards on the Nifty 50 were Tata Motors Passenger Vehicles (-5.27%), UltraTech Cement (-5.25%) and Maruti Suzuki India (-4.67%). Reliance Industries, which fell over 2% intraday, recouped its losses and closed almost 1% higher, driving some bit of recovery in the headline indices.

For an extended version of this story, go to [livemint.com](#).

United Spirits: Karnataka's new policy to lift premium play

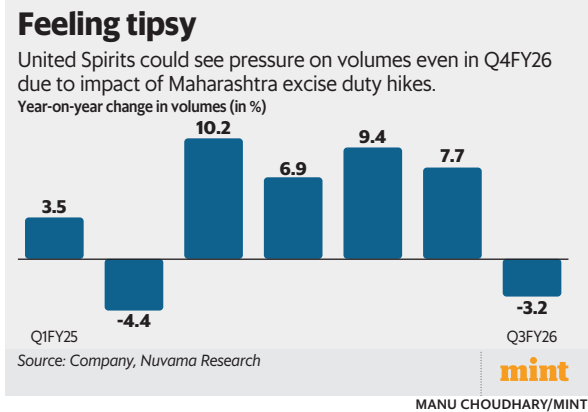
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Karnataka, which is estimated to contribute about 15% to United Spirits Ltd's sales volumes, is shifting from a government-controlled model to a market-driven alcohol pricing model. This should improve the pricing power of liquor companies and support margins. Companies can now adjust product prices depending on inflation and raw material costs.

The state will also adopt alcohol-in-beverage (AIB) based taxation effective April, in a phased manner to avoid

pricing disruption. The AIB system links taxation to alcohol content. This means the mass and popular segments with the same alcohol content as Indian made foreign liquor (IMFL) may see tax hikes, driving premiumization.

This will result in a lower tax on beer (5% alcohol content), making it more affordable relative to spirits/IMFL with alcohol content over 40%, said a Nomura Research report on 8 March. The higher tax burden on spirits can pressure volumes in the price-sensitive popular and below segments and improve the affordability for the prestige &



above (P&A) segment, given same alcohol content.

P&A contributed 89.4% of United Spirits's 9MFY26 net

sales value. After a review in May 2022, the company has divested several popular and economy brands and shifted

some to franchise operations.

The fine print on the new tax structure is still awaited. Until then, company-specific developments are crucial.

Sales growth could remain under pressure in Q4FY26 due to regulatory headwinds in Maharashtra (full impact of excise duty hike) and normalization of Andhra Pradesh benefit in base, says JM Financial Institutional Securities. Q3 total volumes were down 3.2% year-on-year. The management expects potential volume growth recovery of about 200 basis points once distortions due to Maharashtra duty changes normalize.

A review of its investment in Royal Challengers Sports is expected to conclude this month. The highest bid is estimated at \$1.8 billion, as per a media report. "This is much higher than our and Street's estimated value of \$1.2 billion/\$1.1 billion," says Nomura.

Benefits from the India-UK FTA should start in FY27; the company estimates an annual benefit of ₹10-120 crore from lower bulk scotch duties.

United Spirits's shares traded at about 48x FY27 estimated earnings, showed *Bloomberg* data, suggesting a large part of the optimism may have been priced in, for now.

Protracted West Asia conflict worries flip oil futures pricing

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Signs of distress are flashing in the futures market for crude oil as traders jostle to lock in barrels early rather than wait for later, as the West Asia conflict escalates. World oil futures for the far months are now trading at a steep discount to the near month, upending the normal behaviour of oil markets during periods of comfortable supply, when far-off month prices trade at a premium to the near month price. Near month prices trade closer to the spot price.

On London-based ICE Europe, the June contract for crude oil was trading at a \$6.86 per barrel discount to the May contract of \$104.53 at the time of writing. On 27 February, a day before the war began, it was just the opposite: the June contract was at a premium of 39 cents to the May contract, which quoted at \$72.48, as per *Bloomberg*.

Such flipping of discounts between near and far months—backwardation or inversion—points to supply disruptions due to the West Asia war. The May and June contracts are currently the most actively traded oil futures contracts on ICE Europe. In a normal market with ample



World oil futures for the far months are now trading at a steep discount to the near month. REUTERS

supplies, the far-month futures trade at a premium to the near-month contract, as the former takes into account storage and insurance charges.

"The steep discount on ICE clearly indicates the supply distress due to the effective closure of Hormuz," said Sudhir Joshi, former director-finance of Bharat Petroleum Corp. Ltd (BPCL), who is credited with setting up the state-owned refiner's oil trading desk in the early 2000s.

Joshi said the market tends to move into discount amid sharp supply disruptions. At such times, far-month futures trade at a discount to the near month, which tends to trade closer to the spot price.

Brent shot past the \$100 mark overnight after Iran

chose Mojtaba Khamenei as Supreme Leader to succeed his slain father Ayatollah Ali Khamenei, raising the chances of a protracted conflict. The US has described him as "unacceptable," while Israel labelled him an "unequivocal target for elimination." A dragged-out war threatens to keep oil supply chains blocked for longer, boosting futures prices.

After soaring 29% to approach a four-year-high of \$119.50 earlier in the day, oil slipped to \$104.53, after the group of seven (G-7) finance ministers led by France said it would consider releasing emergency stocks.

Since the war began, tankers, fuel depots and refineries across the region have been hit by Iran and Israel. Iran has also threatened to target ships laden with oil passing through the Strait of Hormuz.

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Silver slides for third day, gold stays flat

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Silver prices declined by ₹3,400 to ₹2.68 lakh per kg, and gold traded almost flat at ₹1,64,300 per 10g in the national capital on Monday as a firm US dollar dampened the precious metals' demand amid volatile global markets.

According to the All India Sarafa Association, the white metal extended its losses for the third straight day by plunging ₹3,400, or nearly 1.3%, to ₹2,68,300 per kg (inclusive of all taxes) from Friday's closing level of ₹2,71,700 per kg.

"Silver extended last week's decline as a sharp rise in crude oil prices raised concerns that inflationary pressures could intensify again," Saumil Gandhi, Senior Analyst, Commodities at HDFC Securities.

Higher energy prices tend to feed into broader inflation expectations, which may delay the pace of interest rate cuts by the Federal Reserve. This scenario supported the US dollar and Treasury yields, which in turn weighed on precious metals, he added.

Meanwhile, gold of 99.9% purity rose marginally by ₹200 to ₹1,64,300 per 10g (inclusive of all taxes). The yellow metal had settled at ₹1,64,100 per 10g in the previous market session, as per the Association.

RBI's ₹1 tn liquidity fails to rein in 10-yr yield

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Government bond yields rose on Monday as a sharp surge in global crude oil prices stoked fears of higher inflation and delayed monetary easing, offsetting the Reserve Bank of India's (RBI) move to inject ₹1 trillion of liquidity through open market operations.

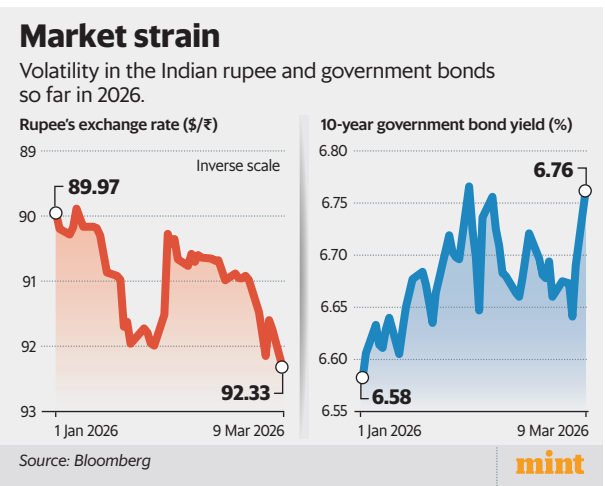
The yield on the 10-year benchmark government bond rose as much as 10 basis points to 6.78%, but closed at 6.72%, according to data from Clearing Corporation of India. It had closed at 6.68% on Friday.

Brent crude futures for May delivery jumped over 20% in trading on Monday to near \$120 a barrel, the highest since June 2022, as the US-Israel conflict with Iran continued, prompting some major West Asian producers to cut supplies and raising fears of prolonged disruption to shipments through the Strait of Hormuz. Crude prices are currently trading at about \$110 a barrel.

The surge in crude and a fall in the rupee to a record low of 92.3350 per dollar, amid escalating conflict in West Asia, drove traders to dump bonds.

The rupee opened at 92.2063 per dollar on Monday, but soon slid and closed at 92.33 amid persistent dollar demand, according to Bloomberg data. The rupee had closed at a record low of 92.15 against the dollar on 4 March.

Broadly, the rupee is seen on a depreciating trend but is not weakening as sharply as traders had expected, as the RBI con-



tinues to intervene in the market to support the currency.

"Considering crude prices will continue to hover over \$100 per barrel, and the war doesn't escalate, the rupee is looking to trade in the range of 91.50 to 93.25 per dollar in the near term," Ritesh Bhansali, deputy chief executive officer at Mecklai Financial Services said.

Iran on Monday named Mojtaba Khamenei to succeed his father, Ali Khamenei, as supreme leader, signalling the leadership remains firmly in control, a week after the US and Israel launched the war.

"Normally, the RBI's announcement of OMO (open market operations) purchases should have helped yields to improve along with money market instruments but globally sentiments are not supported. So, I do not think government bond yields would

soften significantly anytime soon," a senior treasury official said.

The RBI announced OMO purchases worth ₹1 trillion in two batches starting this week to ensure adequate liquidity in the banking system and prevent tight conditions in money markets. The step comes as demand-supply dynamics, tight liquidity and rupee depreciation have kept government bond yields elevated for much of the current fiscal, despite a 125 basis-point cut in policy rates.

"The rupee's renewed depreciation is making the RBI's job more difficult. By announcing ₹1 trillion of OMOs even when core liquidity surplus was already around ₹5 trillion as of 27 February, the central bank is ensuring ample liquidity and creating space for foreign-exchange intervention to defend the currency," Gaura

Sengupta, chief economist at IDFC FIRST Bank said.

"The RBI is also acting preemptively ahead of seasonal outflows such as advance tax payments and GST payments in March," Sengupta said.

Without the ₹1 trillion liquidity infusion, the banking system could have temporarily slipped into deficit as about ₹2 trillion is expected to go out due to advance tax payments on 15 March and another ₹1 trillion for goods and services tax (GST) payments around 20 March, she said.

As on 8 March, banking system liquidity was in a surplus of ₹2.41 trillion, according to RBI data. Market participants expect the move to keep liquidity comfortable but say it is unlikely to directly rein in yields if global factors continue to dominate.

"Volatility has shortened investment horizons across markets and bond yields are going to harden in the near term," Killol Pandya, head of fixed income at JM Financial Asset Management said.

Pandya expects the benchmark 10-year yield to move higher from current levels. "We are already at around 6.75%. The worst estimate which I can think of is somewhere north of 6.80%, maybe towards 6.85%, but I don't really see the 10-year going above 6.85% at all for now," he said.

Market participants expect the surge in oil prices to have a stronger impact on inflation. Over the weekend, the government increased the price of domestic LPG by ₹60.

For an extended version of this story, visit [livemint.com](#).

War raises alarm for India Inc

The conflict presents a trifecta of risks for Indian companies—soaring crude prices, supply-chain disruptions and a depreciating rupee, experts say



AVIATION

Indian carriers, especially IndiGo, are facing a double hit, with rising fuel prices and closure of key air routes in the region disrupting operations. Aviation turbine fuel accounts for 30-40% of airline operating costs, and airlines have limited ability to pass on higher costs. Analysts at JM Financial estimate that for every \$5 rise in Brent, IndiGo's earnings could fall by about 13%, assuming the rupee remains stable. Restrictions across Gulf airspace and hubs such as Dubai are causing longer routes, delays and cancellations, with ripple effects across global aviation networks linking Asia, Europe and North America.

The impact on IndiGo could be high given its exposure to the region. Investors are jolted by the airline's majority of international routes to GCC (Gulf Cooperation Council), a grouping of six Arab states and rising cost. While there have been some evacuation flights, the return to normalcy is uncertain. The airline's shares have fallen about 12% since the conflict began.

To be sure, Air India Group has a higher exposure to West Asia than IndiGo, but analysts could not quantify the impact of the West Asia crisis on its financials as the group is privately held.

OIL MARKETING COMPANIES

A prolonged rise in oil prices is expected to pressure gross refining margins because higher input costs may not be passed through via retail price increases. Analysts at Nomura estimate a combined earnings before interest, taxes, depreciation, and amortization (Ebitda) impact of approximately ₹770 billion on all oil marketing companies (OMCs) for every \$10 rise in Brent. Beyond \$85 per barrel, OMCs may begin incurring losses,



the Nomura analysts estimate. Since the beginning of the conflict, shares of Indian Oil Corp. Ltd, Bharat Petroleum Corp. Ltd, and Hindustan Petroleum Corp. Ltd have fallen 12-15% compared to a 4.58% slide in the benchmark Sensx.



CITY GAS DISTRIBUTION

These companies will find themselves in a similar boat as OMCs, facing higher feedstock costs and potential supply rationing, as a large portion of their gas mix relies on imports transiting the conflict zone. Liquefied natural gas (LNG) accounts for 30-40% of the

sector's total gas mix. Nomura analysts estimate that for every 10% increase in imported gas costs, Mahanagar Gas Ltd will see its Ebitda fall by 15%, Indraprastha Gas Ltd by 22% and Gujarat Gas Ltd by 27%. The three stocks have lost 14.55%, 9.42% and 8.68% since 3 March.



FERTILIZERS

About 30% of India's fertilizer requirement is imported, and nearly 40% of these imports come from the Middle East.

India also relies on the region for around 30% of key raw materials used to make fertilizers, including rock phosphate, phosphoric acid and muriate of potash. Another concern is the scarcity of LNG, which is used as a key feedstock to produce urea. Together, these factors could increase fertilizer costs and force the government to spend more on subsidies than what was initially planned, Crisil estimates.

Dipali Banka, Nehal Chailawala, Soumya Gupta & Vaeshnavi Kasthuril

MUMBAI/BENGALURU

The war between the US-Israel and Iran, now in its 11th day, shows no signs of abating, creating risks for Indian companies—soaring crude prices, supply-chain disruptions, and a depreciating rupee, experts said. Brent crude settled around \$101 a barrel on Monday evening after surging to as high as \$119 during the day, while the Indian rupee slid to a record low of ₹92.33 against the US dollar.

Oil-marketing companies and air carriers will bear the brunt of higher energy prices, others will face an indirect impact as oil prices feed into their input expenses.

"India Inc will likely see a partial impact in the March quarter earnings for companies still operating on existing inventories, while the full effect could become more visible in the first quarter of the next fiscal year," said Pramod Gubbi, founder of Marcellus Investment Managers, a portfolio management firm.

If the Strait of Hormuz remains closed for 2-6 weeks, it can push the three-month average Brent prices to \$80-90, per analysts at Nomura. If the conflict stretches longer, this three-month average can jump to even \$110 per barrel, they warned.

Here is how various sectors will get impacted due to high crude prices:



HOTELS AND RESTAURANTS

Hotels and eateries warn they may be forced to halt operations due to a shortage of commercial LPG cylinders, after some distributors interpreted a 5 March order from the ministry of petroleum and natural gas prioritising household supply as a bar on providing commercial LPG. Industry bodies—the

National Restaurant Association of India (NRAD) and the Federation of Hotel & Restaurant Associations of India (FHRAI)—have written to petroleum minister Hardeep Singh Puri seeking urgent clarification. These bodies emphasize that restaurants rely on commercial LPG for daily cooking. Due to the confusion, some suppliers have begun holding back LPG cylinders. They warn that if this continues, it could hurt restaurant operations, lead to job losses, and affect food availability. They urged the Centre to provide clear information to ensure a steady supply for the sector.



CONSUMER DURABLES

Electronic appliances such as air conditioners and televisions are facing higher input costs for some quarters, as the prices of key imported inputs rise, largely due to the depreci-

ation of the rupee and a rise in prices of metals such as copper and aluminium, and chips used in electronic goods. So far, the war has had no direct impact on these supply chains, but a further escalation in tensions may impact the cost of these key inputs further as the rupee continues to weaken against the dollar. Air conditioner makers are already rolling out new inventory at higher prices even as some market leaders such as Voltas struggle with declining margins.



CERAMICS

Similar to the fertilizer sector, ceramic companies, concentrated in Gujarat's Morbi, are also highly dependent on imported LNG and propane gas to fire their kilns. Gas distribution companies have already invoked force majeure clauses to restrict supplies to ceramic

firms below their contracted volumes. Such supply uncertainties may force the majority of plants to operate at lower, or even nil, utilization levels, experts said. Asian Granito India Ltd, a ceramics firm, told investors on Friday that there could be a temporary and partial impact on its production.



PAINTS

Crude-linked derivatives are a key component in paint manufacturing, sparking concerns

that rising oil prices could push up input costs and squeeze profit margins for paint companies. Ratings agency Crisil also noted that nearly 30% of paint production costs are linked to crude oil prices. Reflecting these concerns, shares of Asian Paints have fallen 6.54%, while Berger Paints and Kansai Nerolac have dropped 4.80% and 8.93%, respectively, since the start of the conflict.



FMCG

Higher crude prices are likely to hurt fast-moving consumer goods (FMCG) companies. Crude prices are crucial to their margins—they determine the cost of transporting goods, but also feed into costs of crucial inputs made from crude oil derivatives, such as plastic packaging and paraffin and mineral oils used in personal care products. Market leader Hindustan Unilever Ltd may see medium-term pressure on margins, especially in its mass-priced personal and home care products. This pressure comes at a crucial time: in its last quarterly results, chief executive Priya Nair had made it clear that the company is focused on volume-led growth, while preserving margins will take a backseat. Others vulnerable to oil price shocks include Marico and Dabur, which have an extensive portfolio of mass-priced value-added hair oil.

In a 6 March note, analysts at the brokerage arm of investment bank Nomura said raw material prices were inching up and could begin eating into margins of FMCG companies including HUL and Godrej Consumer Products in next quarter. "Demand is still recovering, volume growth is still below pre-Covid levels. Thus, inflation/price-hikes can impact volume growth," Nomura analysts said.

Centre tightens restrictions on LPG as oil zips past \$100

FROM PAGE 1

tion wrote to petroleum minister Hardeep Singh Puri, citing "widespread disruption at the ground level". The National Restaurant Association of India (NRAD) said commercial LPG cylinder suppliers were expressing their inability to meet the supply needs of the restaurant industry, which was "severely impacting" it.

A government order on 5 March had said, "All oil refining companies operating in India shall maximize and ensure that propane and butane streams produced, recovered, fractionated or otherwise available with them are utilized for production of LPG and make it available to the three public-sector OMCs, IOCL, HPCL and BPCL only."

In a revised order on Monday, the government said all oil refining companies in the country, including those in special economic zones (SEZs) and petrochemical complexes, must maximize and ensure that the entire production of C3 and C4 streams—including propane, butane and other related gases—is diverted for the production of domestic LPG.

India is one of the world's largest LPG importers and relies heavily on West Asian supplies, mostly from Saudi Arabia, Qatar and UAE, and the current disruption in the region could tighten availability for the country. India's LPG imports in FY25 stood at \$12.47 billion, producing 12.8 million tonnes. Imports in FY26 had already touched \$11.25 billion by January.

The LPG used in India comprises 60% butane and 40% propane. West Asian exports are butane-heavy and, thus, better suited for India as their LPG is a byproduct of oil processing.

In January, India began



India is also looking at more sources for LPG imports such as Australia and Algeria, a person aware of the matter said.

receiving its first major contracted volumes of LPG from the US under a new long-term pact expected to cover roughly 10% of the total LPG imports. Unlike West Asian supplies, these US shipments are propane-heavy, as LPG in the US is primarily a byproduct of natural gas processing rather than crude oil refining.

India is also looking at more sources for LPG imports such as Australia and Algeria, the first person added.

Global oil prices are on a sharp upward curve following the closure of the Strait of Hormuz, a narrow waterway that typically handles about one-

fifth of oil trade.

After trading near \$120 per barrel on Monday, crude oil prices eased amid reports of the G7 countries considering release of oil from their strategic reserves. At the time of writing this story, the benchmark Brent crude on the Intercontinental Exchange was trading at \$101.81 per barrel, higher by 9.84% from its previous close.

The G7 countries on Monday held a meeting to discuss the release of oil from the reserves of the member states of the International Energy Agency. A Reuters report said there was an initial consideration to release 400 million barrels of

crude from their strategic reserves.

A third Indian official said the country is unlikely to participate in this exercise this time—in 2022 after the Russia-Ukraine war broke out, it had released stocks in line with major economies to ease global supply concerns and prices. "The priority of the government is to meet the demand within the country," the official said.

The minister for external affairs, S. Jaishankar, in a statement in Lok Sabha on the ongoing conflict, said, "The interests of the Indian consumer has and will always be the overriding priority. Where required, Indian diplomacy has supported the endeavours of our energy enterprises in this volatile situation."

According to Madan Sabnavis, chief economist of Bank of Baroda, India's current account deficit, inflation and trade with West Asian countries will be impacted. "The WPI (whole price index) will see a rise due to increase in energy prices. Overall fuel and energy products comprise around 10% of the index," Sabnavis said. "Although in the current scenario, no major impact is seen on retail inflation, but as LPG prices have already been raised, if petrol and diesel prices are also increased, it will affect the country's retail inflation."

For an extended version of this story, visit [livemint.com](#)

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large volumes of LNG. India relies on imports for more than 80% of its oil consumption; about 50% of its oil imports and 60% of its LNG pass through this route.

Clients are mainly seeking clarity on whether developments in West Asia fall within the scope of force majeure clauses in their contracts, particularly where agreements refer to events such as war, blockades or disruptions to shipping routes, according to Lakshminikumar. Companies are also asking about procedural requirements such as the timing and format of notices and the documentation needed to support a force majeure claim.

Paridhi Adani, partner and head of the Ahmedabad office at Cyril Amarchand Mangaldas, said the firm's clients with long-term crude offtake and LNG supply agreements are "deeply engaged".



US and Israel's joint strikes on Iran evoked retaliatory missile and drone attacks by Tehran across the Persian Gulf region.

India's top gas importer Petronet LNG Ltd issued a force majeure notice on 5 March under its gas sale and purchase agreement, citing constraints faced by certain LNG vessels during transit between India and Qatar. Its vessels were unable to reach the Ras Laffan loading port due to the war.

Russia's invasion of Ukraine in 2022 has evoked similar discussions between companies and law firms. However, sanctions emerged as a major concern for trade at the time. Sanctions arise from government restrictions that can make trade or payments with certain entities illegal, even if shipments remain possible. In contrast, the current West Asia crisis has sparked legal queries focused more on

logistical disruptions, particularly risks to cargo movement through the Strait of Hormuz.

This time, the volume of queries is significantly higher, given the more immediate impact on India's energy supplies and pricing, lawyers say. India relies heavily on crude, LNG, and other commodity shipments from the Gulf, making disruptions in the region a greater risk.

Yet, lawyers caution that force majeure claims in such geopolitical situations can be difficult to sustain.

"Legally, these claims are harder to sustain than instinct suggests, and the gap between the felt reality of disruption and the technical legal threshold is where most companies will find themselves stranded," Adani of Cyril Amarchand Mangaldas said. "Rerouted vessels, volatile freight costs and uncertain delivery windows are real and damaging, but they are not, in legal terms, an impossibility. The foreseeability problem

compounds this."

Venkatesh Raman Prasad, partner at JSA Advocates & Solicitors, said if LNG can still be delivered through alternative routes or logistical arrangements, even if it becomes more expensive, companies may struggle to rely on the clause.

However, if a contract lacks a force majeure clause, companies may rely on Section 56 of the Indian Contract Act, which provides that a contract is discharged if an unforeseen event renders performance impossible. Courts, however, apply this rule strictly and do not allow it if the contract has only become more expensive or difficult to perform.

Law firms say companies are also exploring measures beyond force majeure. These include a review of insurance policies for coverage, exclusion clauses and notification requirements.

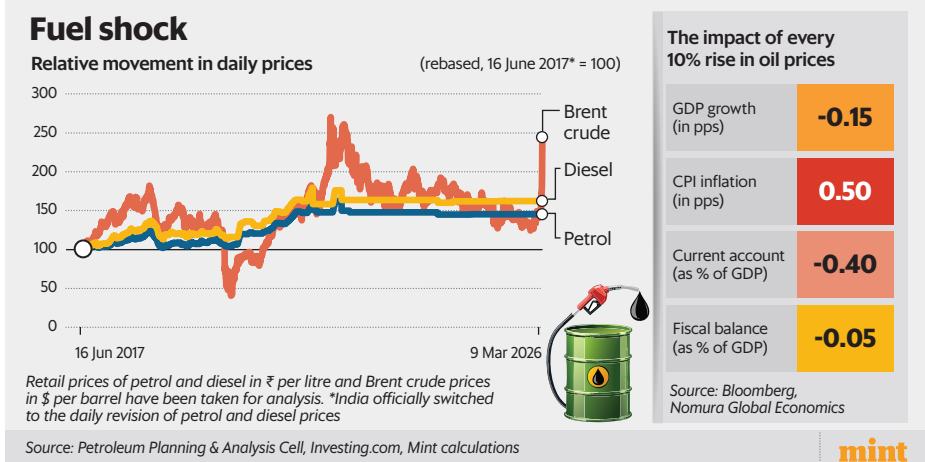
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Inflation, fuel price come under cloud of war

FROM PAGE 1

cated that fuel prices won't be hiked. Since oil prices were largely in the \$60-75 per barrel range in 2025, there may be some room to absorb the current losses if only it proves short-lived. Prices of liquefied petroleum gas (LPG) have already been hiked by ₹60 per 14.2kg cylinder, taking the prices to the highest level since 29 August 2023.

Since India relies on imports to meet 80% of its domestic needs, any disruption in the oil market have macroeconomic impact. Economists estimate that every 10% increase in crude oil prices could shave off GDP growth by 15 basis points and increase retail inflation by 30-50 basis points, while the current account deficit (CAD) could worsen by 0.4% of the



GDP. Since the start of the war on 28 February, oil prices have averaged around \$92 per barrel, up 35% from the \$68 per barrel average level in 2025. As such, the impact on inflation could be 120-150 basis points if these levels are sus-

tained throughout the year.

India's retail inflation was already expected to reach 4.0-4.2% during the first half of 2026-27, as per the projection given by the Reserve Bank of India (RBI) in February before the war-led disrup-

tions. The current disruptions threaten to push it even higher, ending the Goldilocks situation of high growth and low inflation that India enjoyed for much of 2025.

"If oil prices persist at the \$75-80 per barrel level, the

macro impact may be capped and mostly absorbed by oil marketing companies," said Bank of Baroda in a research report. "However, a sharp price spike may force the government and consumers to absorb some hit." The Centre has the option of making excise duty cuts to insulate consumers, with each ₹1 per litre cut expected to have a fiscal cost of ₹16,000-17,000 crore.

The last time crude oil prices reached this level was during Russia's invasion of Ukraine in late February 2022. Back then, petrol and diesel prices were hiked by around \$10 per litre before they were cut once oil prices calmed down. This time, though, the oil market is facing a more disruptive scenario as West Asia accounts for nearly 30% of the world's total oil output, much higher than around 10% by Russia.

Cult.fit looks beyond regular gyms to drive wider growth

Cult.fit’s consumer products business could eventually rival its services segment in scale

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Cult.fit is widening its play-book beyond traditional gyms, betting on affordable fitness centres, niche formats such as premium Pilates studios, and consumer products to drive its next phase of growth, the company’s top executive said.

The Bengaluru-based company’s consumer products business is expected to eventually rival its services segment in scale. *Mint* reported in June 2024 that chief executive officer Naresh Krishnaswamy expected the products arm to outpace gym services over the next few years.

“The products business is growing a little faster than the fitness services segment and is now about one-third of our overall business,” Krishnaswamy told *Mint* in a recent interview. “I expect it to become as large as the services segment.” The push comes as Cult.fit balances rapid expansion with financial improvements ahead of a potential public listing. The company reported operating revenue of ₹1,215.5 crore in FY25, while its net loss narrowed to about ₹480.8 crore, according to financial statements filed with the ministry of corporate affairs.

Yet, the strategy is unfolding in a fitness market that is becoming increasingly fragmented, with boutique studios, independent gyms and new direct-to-consumer brands competing for younger consumers.

“Fitness brands today are no longer competing only as gyms—they’re competing as lifestyle ecosystems,” said Akshat Gupta, principal (consumer and internet) at consultancy Praxis Global Alliance. “Consumers increasingly see health, beauty, nutrition and activity as part of the same



The push comes as Cult.fit balances rapid expansion with financial improvements ahead of a potential public listing.

journey, which is why companies are trying to build a broader portfolio across services, products and experiences.”

A central pillar of Cult.fit’s strategy is Cult Neo, a mass-market gym format

ing that the format targets young professionals entering the workforce who are beginning to spend on fitness.

Cult.fit operates in about 60 cities, though the bulk of its business remains concentrated in large urban markets

wamy. Alongside the mass segment, Cult.fit is experimenting with specialized formats aimed at urban consumers seeking curated fitness experiences. One such initiative is Pilates Circle by Cult, a premium studio concept launched less than a year ago. Pilates—a fitness format focused on mobility, stability and strength—is among the fastest-growing fitness formats globally and is becoming popular in India.

A July 2025 report by Deloitte India and the Health & Fitness Association estimated that the country’s commercial fitness market could more than double to ₹37,700 crore by 2030 from ₹16,200 crore in 2024, growing at about 15% annually as awareness around health and preventive fitness increases. Boutique studios are among the fastest-growing segments, reflecting rising demand for specialized, experience-led formats such as Pilates and functional training, according to the report.

Krishnaswamy expects each major city could eventually support 20–25 such studios, though the format is likely to remain concentrated in the metro markets.

“We are seeing a clear shift toward specialized fitness formats such as Pilates, recovery and functional training because consumers increasingly want targeted outcomes rather than a generic gym experience,” said Gupta of Praxis, adding that these offerings often remain premium and urban-led, which can limit their scale compared with mass gyms. The Pilates studios have attracted a predominantly female membership base, with about 75% of the members being women. For now, Cult.fit’s plan centres on expanding its gym footprint and building an ecosystem of fitness formats, products and experiences.

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Streamers have more shows than ever, but fewer real hits

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The Indian video streaming industry is increasingly polarized. Only three of the top 50 originals released in 2025 crossed 25 million viewers, according to media consulting firm Ormax, while more than half drew fewer than 15 million.

Entertainment industry experts say the OTT market is beginning to resemble the theatrical ecosystem, where a handful of hits capture most of the audience and viewership drops sharply beyond the top few titles. Viewers are spread across too many platforms and shows, marketing budgets are concentrated on a small number of flagship releases, and much of the remaining programming struggles to generate word-of-mouth.

According to Ormax, titles such as *Special Ops season two*, *Criminal Justice: A Family Matter* and *Ek Badnaam Aashram*, topped the list of Indian OTT originals in 2025 with viewership above 25 million.

Shows with earlier seasons have a natural advantage as viewers return to characters and storylines they already know



Titles such as *Ek Badnaam Aashram* topped the list of Indian OTT originals in 2025 with viewership above 25 million. AMAZON.COM

said Pratap Jain, founder and chief executive officer (CEO), ChanaJor, an OTT platform.

Jain said the reason for this is simple: viewers don’t have unlimited time. With so much content available, audiences gravitate towards titles that feel popular, familiar or are widely talked about.

Shows with earlier seasons have a natural advantage, he said, as viewers return to characters and storylines they know. New shows lack that familiarity. At the same time, aggressive promotion, through trailers, social media reels, interviews and memes, can significantly boost visibility. Titles that lack strong

marketing often go unnoticed, even if they are well made. “Part of this is attention economics,” said Munish Vaid, vice-president, Primus Partners, a management consultancy firm. “With thousands of titles available on dozens of platforms, the viewer’s time is scarcer than ever. Most people swarm to only a couple of big shows each year—the ones with buzz, big stars or strong word-of-mouth. Everything else competes for the scraps.”

Since viewers tend to stick with familiar genres, formats and creators, many new shows end up being sampled rather than fully watched, he said.

Regional content, however, behaves somewhat differently. In some languages, localized hits can draw large viewership within that ecosystem, partly because they reflect cultural context more directly and because regional audiences are less fragmented across languages. But even within these markets, the same pattern persists—a few big hits and a large number of mid-tier titles.

That said, platforms are aware of this problem, and are trying smarter recommendations, personalized sections and curated lists that push lesser-known titles to relevant audiences instead of just showing the most popular ones, industry experts say.

Instead of dropping 8-10 episodes at once, where only the buzziest shows get traction, platforms sometimes release weekly to build appointment viewing and sustained conversation. Trailers, social media snippets, creator interviews, micro-content, are all designed to give smaller shows more chance to catch eyeballs.

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AI needs management consultants after all

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Artificial intelligence initially threatened to replace consultants. Now, it is giving them a boost—at least for a little while.

AI’s biggest competitors are leaning on the McKinseys of the world to solve a problem for them: Businesses aren’t using AI to the fullest extent. Yet, getting AI deeper into business operations is where the big money is.

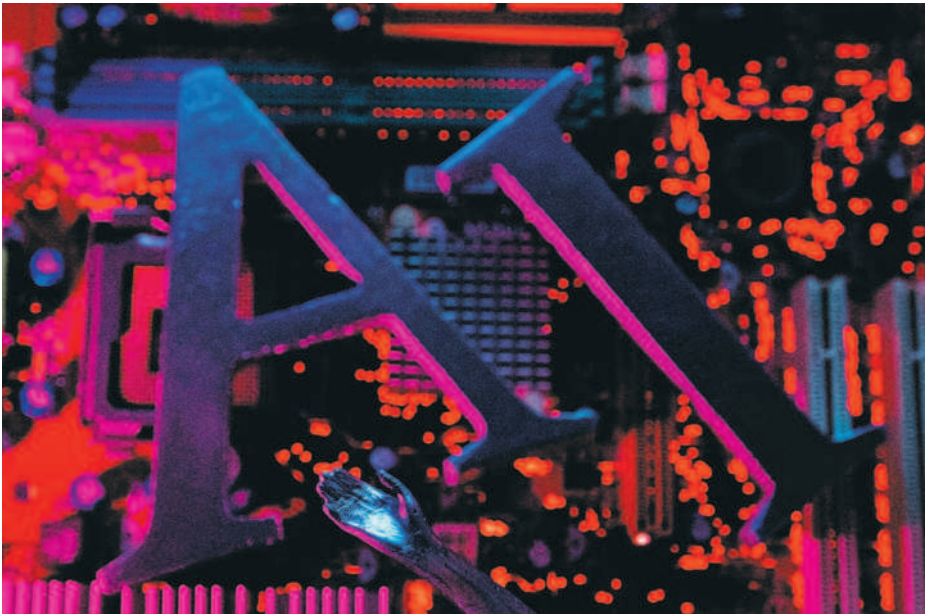
Among nearly 2,000 employees surveyed by McKinsey last summer, about two-thirds said their organizations hadn’t started scaling AI across the enterprise. More than half of nearly 4,500 chief executives polled by PricewaterhouseCoopers late last year said they had seen no significant financial benefit from AI so far.

OpenAI and Anthropic have been striking deals with consultants to help promote the use of their technology. In deals reached with McKinsey, Boston Consulting Group, Accenture and Capgemini, OpenAI engineering teams will work alongside those firms’ consultants. Anthropic, meanwhile, announced a deal with Deloitte last year to develop industry solutions; it works with other firms, too.

“All the firms are tying themselves up with one or the other, trying to figure out who’s best to be with,” says Bill Achtmeyer, chairman at Acropolis Advisors, who sold his strategy consulting firm Parthenon to EY in 2014.

OpenAI’s Frontier platform helps companies build, deploy and manage AI agents. The company’s team of 70 so-called forward-deployed engineers work closely with companies on how to use the platform for specific needs. Now, the consulting companies will help businesses shape strategy, integrate the AI systems and redesign their workflows around the technology.

For example, Colin Jarvis, OpenAI’s global head of forward-deployed engineering,



OpenAI and Anthropic strike deals with consulting firms to spread artificial intelligence through the business world. REUTERS

points to a large European bank where OpenAI is working with one of the consulting firms. The team considered eight use cases for Frontier, including functions related to credit risk and voice capabilities. (News Corp., owner of *The Wall Street Journal*, has a content-licensing partnership with OpenAI.)

The partnerships with consultants aim to bridge the gap between what AI can potentially do and what it can be used for today.

But the firms work with many AI companies and systems, not just with OpenAI. Accenture recently struck an agreement with Mistral AI. Anthropic, which has its own ranks of forward-deployed engineers, recently announced new customizable agents for workflows in investment banking and equity research, among other areas.

AI stands apart from previous tech advances because its applications are so broad and many potential uses have yet to be discovered, says Tom Rodenhauer, managing partner of K2 Consulting Research, which tracks the industry.

AI work has increased demand for consultancies, he says. His firm’s research found global consulting grew 5.5% in 2025, double the rate of the prior year. Accenture, for instance, disclosed \$2.2 billion in new AI bookings in the most recent quarter, a \$400 million increase from bookings in the prior quarter.

Forging partnerships with AI companies isn’t consulting as usual. Clients are less interested in paying for a large number of junior associates to collect and synthesize data.

Now, more agreements are tied to outcome-based pricing—where a firm is paid partly based on whether a project gets a specified result—rather than how many people they throw at it.

“The way we’ve known consulting over the last 50 years changes pretty dramatically,” says Rodenhauer, who adds that the near-term gains might be short-lived.

At McKinsey, the classic team model has changed to include more engineers, says Ben Ellenweig, a leader at McKinsey’s AI unit, Quantum-Black. Artificial intelligence, he says, “allows us to focus our time on the things that make

us as consultants more distinctive.”

BCG views the Frontier partnership as a way to transform how companies actually run.

“We hope this accelerates a shift that was already under way at BCG, helping clients move from isolated AI pilots to full-scale reinvention of workflows,” says Dylan Bolden, a senior partner at BCG.

It is possible the consulting industry shrinks, says Achtmeyer, the chairman at Acropolis Advisors. AI’s ability to do data-crunching and analysis has raised plenty of existential questions for an industry built on human expertise.

Still, he says, company bosses will always want input from senior partners on some of the most pressing decisions they face.

Or, as Mo Koyfman, founder at the venture-capital firm Shine Capital, puts it: Companies need a human to hold responsible should anything go wrong.

“They want a throat to choke,” Koyfman says. “They want to be able to pick up a phone and call a human being and say, ‘You screwed me.’”

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The long-feared Persian Gulf oil squeeze is upon us

Traffic through the Strait of Hormuz has ground to a halt, unleashing the most severe energy crisis since the 1970s, threatening the global economy

Joe Wallace, Summer Said, Rebecca Feng & Georgi Kantchev

The chairman of oil producer DNO was flying from New York to Oslo early on Feb. 28 when he told staff to turn off the company's oil wells in Iraq. America and Israel had just attacked neighboring Iran. Bijan Mossavar-Rahmani wasn't taking any chances, having weathered a drone strike on the company's oil fields in Iraqi Kurdistan last summer. By the time he landed, the pumps had stopped—the first oil shut-down of the war.

To the south, another problem was brewing. An apparent recording of an Iranian naval captain telling ships not to enter the Strait of Hormuz spread through industry WhatsApp groups.

Tanker traffic slowed to a trickle. The doomsday some oil analysts believed could never happen was coming to pass. Unable to ship crude to world markets, much bigger producers in Iraq began to run out of places to put it. The country cut output by more than two-thirds. Tanks in Kuwait were next to fill up. U.S. oil prices vaulted above \$100 a barrel Sunday for the first time since the fallout of Russia's war on Ukraine.



On Sunday, more than 1,000 ships were waiting to pass through the Strait of Hormuz.

AFF

northeast by a sworn enemy of the West, the channel between Oman and Iran is a superhighway for about a fifth of global supplies of oil and liquefied natural gas. Massive amounts of fertilizer sail through these waters, feeding crops on every continent. The few ships that have left the strait since the start of the war were mostly carrying Iranian oil. Traders say crude markets could soar even higher if the strait doesn't open within days, either with U.S. naval escorts or because shipowners think the danger has receded.

Force majeure

The strait's closure is spilling through commodity markets. Aluminum prices hit multiyear highs after Middle Eastern smelters declared force majeure—a legal maneuver that means suppliers aren't liable if they fail to deliver. Norsk Hydro, which is curtailing output in Qatar, said a full restart could take six to 12 months.

"We are looking at what is by far the biggest disruption in world history in terms of daily oil production," said energy historian Daniel Yergin. "If it goes on for weeks, it will reverberate across the global economy."

That is exactly what Iran wants, Yergin said. Attacking energy facilities and shipping appears to be a Hail Mary attempt to make the war so painful for the American and allied economies that Trump backs down—as when Russia slashed natural-gas supplies in a failed bid to splinter Ukraine's backers in 2022.

Analysts fear that even a weakened Iran could keep the strait closed with missile and drones, similar to the tactics its Yem-

eni allies, the Houthis, employed in the Red Sea in recent years.

U.S. crude futures shot up 36% last week, their biggest surge since the market began in 1983. After Trump's call on Friday for Iran's unconditional surrender squashed hope on Wall Street that he might reach a speedy peace deal, prices rose more than they have on a single day since rebounding from the pandemic crash in 2020. They rose another 20% after markets opened on Sunday evening.

The strait isn't officially closed or physically blocked, and a small number of vessels have traversed it, some carrying Iranian crude. Still, on Sunday, more than 1,000 ships were waiting to pass through, their owners and sailors scared of being attacked after strikes on at least nine vessels that left one crew member dead.

Traders fear that both sides will ramp up targeting of energy infrastructure. Saudi Arabia intercepted a drone heading toward an oil field on Saturday, likely from Iran, officials said. Israel said it struck several fuel-storage complexes in Iran over the weekend, lighting up the sky in Tehran.

The world economy has been knocked off course by Middle East oil turmoil repeatedly over the years. The mother of all shocks—the oil embargo by Arab producers in response to Nixon's support for Israel in the 1973 Yom Kippur War—has no comparison, said Rystad Energy analyst Jorge León. Within three months, oil prices quadrupled, rocking the global economy and shaping U.S. energy and foreign policy for decades.

Iran was at the center of another crisis five years later when the country's crude output plunged after the Islamic revolution began. Crude prices more than doubled, contributing to recessions in the U.S. and arguably spelling the end of Jimmy Carter's presidency.

The U.S. led a naval convoy to protect ships going through the Gulf in 1987, when the Iran-Iraq war imperiled oil flows.

The region and the world have tried to insulate themselves from further shocks. Decades of automotive efficiency gains, America's conversion from oil importer to exporter and the advent of renewables have fortified the world economy against sudden drops in Gulf supplies.

The Middle East pumps roughly a third of global production, about the same as in the early 1970s. But crude markets are more flexible these days, with fewer long-term contracts and traders better able to push cargoes to buyers who need them most.

China has an enormous stockpile—enough to cover 200 days of imports—if crude prices surge toward record highs of \$150 a barrel, as some on Wall Street forecast. Saudi Arabia built a pipeline to its western coast, which it has activated to divert some sales via the Red Sea.

But elsewhere in Asia, which imports around 80% of the petroleum that sails through the Gulf, many countries are more immediately vulnerable. In recent days, Myanmar's junta launched a rationing system for cars, while Thailand suspended some fuel exports. The Philippines told government offices to turn off computers at lunch and set air condition-

ing no lower than 75 degrees Fahrenheit.

In the weeks before the latest attacks, a certain degree of complacency had taken hold in global oil markets. Gulf oil producers were reassured by U.S. officials that retaliatory attacks on their soil, if they were to happen, would likely be limited to U.S. bases, according to Arab Gulf officials. Iran wouldn't go after their energy infrastructure or attempt to close the Strait of Hormuz, they were told. After all, the chokepoint had remained open during last June's Israeli-U.S. 12-day bombing of Iran.

The Gulf states nevertheless began to prepare. Saudi Arabia increased security on its Red Sea pipeline and the United Arab Emirates did the same on a pipeline that bypasses Hormuz to Fujairah, a port on the Gulf of Oman, the officials said. Kuwait boosted production to get more oil into the market while it could.

When Israel and the U.S. launched their attacks, officials were initially sanguine that it would play out as previous conflicts had. Several shared memes of Mr. Bean giving the middle finger, likening Iranian retaliatory attacks on the Gulf to the bumbling comedic character.

At a meeting of the Organization of the Petroleum Exporting Countries on the Sunday after the attacks started, officials agreed to increase output, but didn't talk much about Iran.

"We surely didn't think Iran would actually go after the entire Gulf and throw our ties with it out of the window," said a senior Saudi official.

The mood changed as it became clear the strait would be a no-go zone for merchant ships.

In Kuwait, the oil-rich monarchy whose industry was all but destroyed when Iraq invaded in 1990, officials suddenly had the problem of what to do with all their oil. With most of Kuwait's production close to export facilities on the coast, the emirate never bothered to invest much in storage, officials said.

Without enough storage, producers need to turn off wells, a process known in the industry as "shutting in." Unlike a kitchen faucet, an oil tap isn't easy to turn back on.

After decades of production, wells in Saudi Arabia and Kuwait have become more vulnerable to losing pressure, even those that are close to the surface. Some wells that are shut in never regain their original flow. The Saudi Red Sea pipeline, meanwhile, can't handle all the kingdom's output, or that of its neighbors.

Natural gas hit

One way this crisis is different from the past: Qatar's emergence as a giant exporter of supercooled natural gas. Over the past 20 years, European and Asian economies have pivoted away from oil and coal to the cleaner-burning fuel.

But doing so has fostered another dependence that is being brutally exposed by Doha's decision to halt output after Iran

fired drones at its Ras Laffan gas complex.

Shutting the jungle of pipes and towering flare stacks dominating the desert shoreline took a fifth of supercooled gas supplies from the world market at a stroke. At the end of a cold winter that drained storage caverns, gas prices rocketed in Europe. They rose even higher in Qatar's main export market, Asia.

With Qatari gas off limits, a bidding war for cargoes from elsewhere broke out on the high seas. *Clean Mistral*, an LNG tanker, was cruising toward Spain from the U.S. midweek when it made a 90-degree turn to head toward Asia. As traders who handle export logistics spotted the chance to profit in the more lucrative market, several tankers made similar pivots, according to ship-tracking data.

There are ways for the global economy to adjust. Qatar's biggest customer, China, can burn more coal if gas prices get too high, S&P Global analyst Ross Wyeno said.

South Korea, another large buyer, built up a storage buffer over the winter—though its semiconductor industry could take a hit from a sudden shortage of helium, a natural gas byproduct.

Taiwan, India, Pakistan and Bangladesh are more exposed, said Wyeno. He expects demand to fall in all four countries as well as bids to attract cargoes heading to

Europe, though exorbitant prices will put some buyers off. Pakistani energy bills could soar under the terms of recent International Monetary Fund loans.

Qatari production won't recover straight away if the strait reopens. A liquefaction train, which cools the gas, is like a giant refrigerator, but unlike an unplugged fridge at home, restoring it could take weeks.

In India, gas-intensive companies such as fertilizer producers might be forced to throttle back production, which could imperil crop yields in a country that still suffers from malnutrition. The government ordered oil refiners to make as much cooking fuel as possible after a plunge in imports from the Middle East.

U.S. impact

The U.S. is somewhat insulated thanks to ample supplies of domestically produced energy. But oil markets are global, and prices at the pump are expected to keep rising, acting as a tax on consumers.

Airline executives have warned a leap in jet-fuel prices—which hit a record in Europe and shot up in the U.S., too—would harm quarterly results and push up fares.

There have been other knock-on effects. The Trump administration's efforts to reduce the impact of the Gulf closure risk undermining another recent push: to isolate Russia's oil industry over the Ukraine war. The Treasury Department eased sanctions on Moscow's crude to give India an alternative to oil stuck in the Gulf.

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Iran signals a fight to the end with appointment of Khamenei's son

Benoit Faucon & Sune Engel Rasmussen

The appointment of Mojtaba Khamenei, son of the slain Ayatollah Ali Khamenei, as Iran's new supreme leader defies President Trump and signals that Tehran won't back down as it fights a war with the U.S. and Israel.

The elevation of Mojtaba Khamenei, a conservative long close to Iran's Islamic Revolutionary Guard Corps, shows that Trump's efforts so far to cow the regime into surrender have failed. It also appears to have put hard-liners in firm control of the country, with moderate and reformist factions long marginalized. The 56-year-old Khamenei is expected to take a confrontational stance toward the West.

His appointment also shows that Iran won't acquiesce to Trump's demand that he approve the country's new top cleric. Trump told Axios last week that "Khamenei's son is unacceptable to me."

The younger Khamenei's ascendance "suggests the con-

tinuation of the same old strategy: repression at home and resistance internationally," said Sanam Vakil, director of the Middle East and North Africa program at Chatham House.

The Revolutionary Guard and Iranian army pledged allegiance to the new leader. Following his appointment, Iran launched a wave of missiles toward Israel, state media said. In addition to his father being killed at the beginning of the U.S.-Israeli campaign, the new leader has also lost his mother, wife and a son in the strikes.

Israel said on Sunday that it would target whoever was appointed as the new supreme leader. Despite the risk, the appointment of a new top cleric is important in signaling to Iranians and the world that the regime can still function.

The ability to appoint a new supreme leader defied the expectations of its enemies, said Ali Larjani, head of the national security council. He added that Khamenei had been "raised in the school of leadership," with teachings from his father, which would



Mojtaba Khamenei is expected to take a confrontational stance toward the West.

AP

help him govern the country. The younger Khamenei has mostly kept away from the public eye, and his political views aren't well-known.

But he is closely tied to the Revolutionary Guard, where he served, mostly in noncombat roles, during the 1980-88 Iran-Iraq war. The Guards have played a central role in repressing domestic opposition to the regime.

Khamenei's ascendance also marks the first hereditary trans-

fer of the position of supreme leader—something the founders of the Islamic Republic denounced when they overthrew the monarchy in 1979. Ali Khamenei and his predecessor, Ruhollah Khomeini, thought passing on power to one's child was un-Islamic.

The supreme leader is the Islamic Republic's top political authority, head of the country's armed forces and judiciary, and designated the highest authority for the world's

roughly 200 million Shia Muslims. The designation as supreme leader is a lifetime appointment.

Khamenei will have to lead the regime as it faces its most serious challenge. The rulers are facing near-constant attacks from the U.S. and Israel. And it is alienating many of its neighbors in the Gulf by attacking critical infrastructure like airports, oil fields and a desalination plant.

He is also inheriting a coun-

try that was in crisis even before the conflict started. In January, security forces operating under the older Khamenei killed thousands of protesters calling for regime change. The country of around 90 million has been facing a deep economic crisis after years of crippling sanctions imposed by the U.S. over its nuclear program.

Mojtaba Khamenei, the second son of his father, was born in 1969, in the religious city of Mashhad, in the family's ancestral home. His name is the Arabic word for "chosen."

He was born when his father was becoming a leading figure in the revolutionary movement against the monarchy of Shah Mohammad Reza Pahlavi. Ali Khamenei was arrested repeatedly by the shah's secret police, and during one raid, Mojtaba watched him being beaten, according to the supreme leader's website.

Following the 1979 Islamic Revolution, the Khamenei family moved to Tehran, where Mojtaba Khamenei

attended a high school for children of the revolutionary vanguards, while his father quickly rose in the ranks of the government to become president in 1981.

Mojtaba Khamenei spent his formative years like many young Iranian men, fighting in the 1980-1988 war against Saddam Hussein's Iraq. In his battalion, he formed relationships with men who later became senior figures in Iran's security apparatus,

including Hossein Taeb, a future intelligence chief in the Revolutionary Guard, and Hossein Nejat, who would become head of the Revolutionary Guard's unit tasked with crushing protests in Tehran.

In 2009, he was influential, through his backing of Taeb, then commander of the paramilitary Basij militia, in the violent crackdown on Green Movement protesters who were claiming the election had been stolen, according to an adviser to the Revolutionary Guard.

Khamenei's activities

attracted attention abroad. The U.S. imposed sanctions on him in 2019, accusing him of working closely, on behalf of his father, with the Revolutionary Guard and the *Basij* "to advance his father's destabilizing regional ambitions and oppressive domestic objectives."

Khamenei isn't regarded as a pre-eminent religious authority, despite his new position as spiritual guide for the world's Shias. When his father was appointed supreme leader in 1989, he was elevated to the rank of ayatollah to take the position.

His appointment marks a shift away from the traditional religious leadership that was crucial to the founding of the Islamic Republic, said analysts and people close to the Iranian government.

"The system is unable to reform despite massive external and internal pressure," said Saeid Golkar, an expert on Iran's security services who teaches at the University of Tennessee at Chattanooga. "All they could find was another Khamenei."

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THE 3-SPEED AGEING FACING INDIAN STATES

India is a young demographic. Still, by 2036, more than half the states will be ‘ageing’

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NEW DELHI

India is often described as a youthful country. Justifiably so, given that 58% of its population is below the age of 35 years and 41% is below 25 years. But stepping back from national totals into state-level data reveals the extent of demographic diversity across the country. According to United Nations (UN) population projections, there are an estimated 167 million persons aged 60 and over in India, but they are not distributed evenly across states and regions. Some regions have a young demographic profile, while others skew towards an older-age population. The truth is, India is both young and ageing; it has the world’s largest Gen Z cohort and the second-largest cohort of those aged 60 and above.

One way to make sense of this wide range of demographic profiles is to classify states by age profile. The latest Reserve Bank of India (RBI) report on state finances, released in January, divides states into three categories based on the share of 60-plus persons in their population. A state is classified as ‘ageing’ if this share is 15% or more; ‘intermediate’ if this share is between 10% and 15%; and ‘youthful’ if it is below 10%. RBI calculations show that almost all states were in the youthful category in 2016.

By 2026, Tamil Nadu and Kerala will be ageing states, with 15.8% and 18.7% of their population, respectively, in the 60-plus category. The real change comes after that. In another decade, by 2036, more than half of India’s states will be ageing, and the rest will be intermediate, with no states in the youthful category. In the two decades between 2016 and 2036, the shift from a young nation to ageing country will be well underway, and that has important economic and social implications.

POPULATION DYNAMICS

How fast a state ages depends on two population metrics: total fertility rate (TFR) and life expectancy at birth. TFR measures the average number of children a woman has in her lifetime. A TFR of 2.1 births per woman, under certain conditions, results in a stable population so that each generation is replaced by another of approximately the same size.

Population control programmes usually aim to reach the replacement rate. India, for example, has championed the two-child policy for many years. At an all-India level, this goal has been achieved. The Sample Registration System Report (SRS) 2023 showed that India’s TFR has dropped to 1.9, below the replacement level.

But at the state level, there was a wide variation in TFR—from 1.2 in Delhi to 2.8 in Bihar, with the median fertility across states at 1.6-1.7. The range in fertility widens if rural-urban differences are taken into account. For example, TFR in rural Bihar was estimated at 2.9, whereas urban Himachal Pradesh was at 1.1.

The second metric, life expectancy at birth, measures the average number of years a person is expected to live at birth. The combined life expectancy for both genders for India is around 72 years (UN population projections). Here again, there is considerable inter-state variation. The average life expectancy at birth for a person born in Chhattisgarh is 65 years, and for one born in Kerala is 75 years. Life expectancy is higher in urban India (73.1 years) as compared to rural India (69.1 years), perhaps due to better access to healthcare. In general, people residing in relatively more urbanized states can be expected to live longer.

The link between ageing, fertility and life expectancy can be understood through three broad trends. First, states with low fertility rates tend to have higher

Data shows a clear north-south divide in the pace of ageing. All the five southern states are predicted to be in the ageing category by 2036.



TARUN KUMAR SAHU/MINT

wealthiest regions. Eventually, all states will experience declining fertility, higher life expectancy and declining working population, though the pace of impact will vary. The inevitability of an ageing population makes it critical that its consequences are understood, and policies to manage the situation are put in place well in advance.

MIGRATION GAINS

Population ageing has significant economic and social consequences. The economic impact shows up through ageing-related economic behaviour. Since older people tend to live off savings and pensions, ageing states are likely to face declining personal income tax revenues.

At the same time, budget spending on health, pensions and age-related social welfare measures is likely to increase. This is some evidence of this already. In 2024-25, about 30% of the total social spending of ageing states went towards pensions, as compared to 22% for youthful states.

The social impact arises from rising labour mobility, as labour moves from poorer states to those offering greater employment opportunities. The 2011 Census recorded a migrant population of 450 million. According to the 2016-17 Economic Survey, around 5-9 million people migrate within India each year; on that basis, the present migrant population could be 550-600 million.

As frontier ageing states, Kerala and Tamil Nadu have been the top recipients of migrant workers, mostly from Bihar, Uttar Pradesh, Assam, Jharkhand, West Bengal and Odisha. In fact, even before Kerala and Tamil Nadu started ageing, their workers were moving overseas to Gulf countries or South-East Asia, creating a vacuum that was filled by young workers from poorer states.

For example, in Tamil Nadu’s Tiruppur district, the textile export hub of India, half of the 600,000 workers in apparel production units are reported to be migrants. These workers face language barriers, long working hours, loneliness and tight financial conditions. Job security is non-existent: when the US announced steep tariffs in 2025 and export orders dried up, many migrant workers lost their jobs. Yet, there is both opportunity and inter-dependence. Tiruppur cannot operate without migrant workers as local workers are either unavailable or unwilling to work. Migrant workers are increasingly grabbing the chance to learn on the job and build their own businesses in the region.

Next door, Kerala is estimated to have 3-3.5 million migrants working in construction, manufacturing, marine fisheries and agriculture. The state attracts many workers due to its relatively higher wages, and state-sponsored welfare schemes providing health, housing and language learning facilities. Telangana’s construction boom relies heavily on an estimated 1.8 million migrant labour population. These workers, mainly from Bihar, work in construction, as well as rice mills, agriculture, poultry and informal service jobs. Most states benefit in multiple ways from migrant labour, who keep the factories running, spend part of their wages locally and use their informal networks to ensure a steady stream of workers from



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WHAT

India is both young and ageing at the same time: the country has the world’s largest Gen Z cohort and the second-largest cohort of those aged 60 and above.

AND

In another decade, by 2036, more than half of India’s states will be ageing. However, ageing states tend to be richer and youthful states are among the poorest.

NOW

States are ageing at three different speeds. India’s regionally staggered ageing gives it a unique advantage—it provides a longer runway for growth.

impacts economic activity, incomes, savings and consumption.

AGEING INDIA

As a state’s population grows older, fewer local persons are available to work. Simultaneously, if families have fewer children, then fewer people will join the workforce in future. At some point in this cycle, the share of the working-age population (15-64 years) starts falling.

The RBI estimates show that for Tamil Nadu and Kerala, the share of working-age population is expected to start falling by 2026. Others such as West Bengal, Maharashtra, Delhi, Punjab, Andhra Pradesh and Karnataka will see a fall by 2031.

In contrast, some states, notably Uttar Pradesh, Rajasthan and Bihar, will not reach peak working-age population even in 2036.

This is not a demographic catastrophe—the share of working-age population is not expected to fall below 60% for any state except Kerala in the next decade. However, it is quite clear that ageing states will have smaller pools of domestic labour in the future.

The second, and more important trend, is the direct relationship between ageing and state domestic product (SDP). Ageing states tend to be richer and youthful states are among the poorest. This is particularly stark at the bottom of the prosperity ladder:

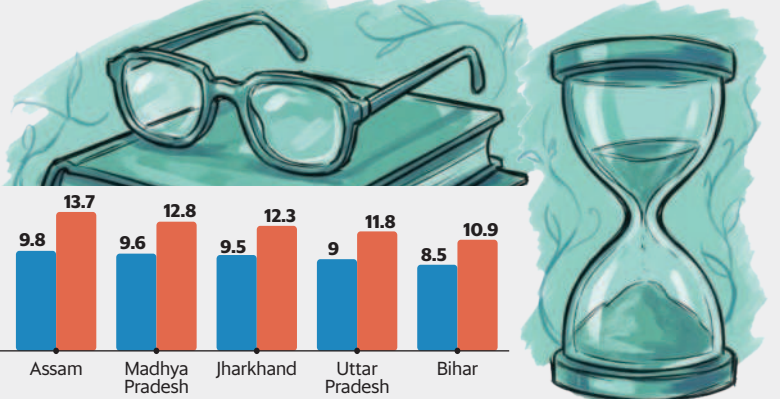
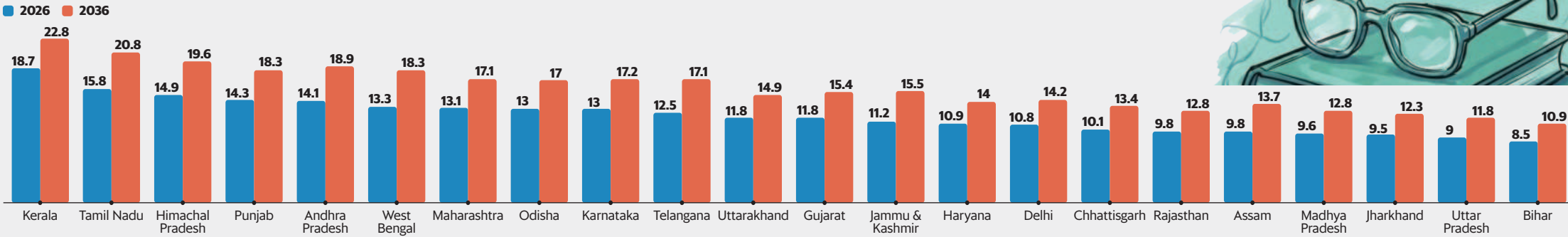
states that will remain youthful through the next decade are those with the lowest per capita SDP currently.

But that does not mean that older states are not growing. Tamil Nadu’s standout 11% real SDP growth in 2024-25 is a good example of the economic dynamism in certain ageing and near-ageing states. Inherent in this relationship is a clear tradeoff between labour and capital. For instance, Tamil Nadu has the capital and entrepreneurial ability to set up industrial enterprises, but not enough labour. Bihar and Jharkhand are capital scarce but have abundant labour supply.

Third, these demographic shifts are not limited to the southern states or the

Many large Indian states will start ageing in the next decade

Share of population above 60 years of age in total population (in %).



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MANU CHOUDHARY/MINT

OUR VIEW



Oil shock shudders need not scare equity holders

The Iran war has made oil spike and equities slide. While RBI could steady the rupee with its dollar stash, investors should focus on what stocks are worth instead of capital gains

After nine days of denial, the hard reality of an oil shock seems to have hit home. In the second week of joint US-Israel attacks on Iran, crude oil prices have leapt into three digits, with Brent within sniffing distance of \$120 per barrel at one point. The oil spike battered stocks across Asia as plumes of smoke began to look like clouds of stagflation on the not-so-distant horizon. India’s benchmark BSE Sensex slid nearly 3.2% on Monday morning before it recovered a bit to settle around 1.7% down at 77,566. The rupee hit a record low of 92.35 to the dollar. That Iran’s chokehold on Gulf oil supply hasn’t eased bodes ill for our economy. After all, we import nearly nine of every 10 barrels we consume. Costlier crude would not just soak up extra dollars amid trade headwinds and weak capital inflows, but also fiscal resources if fuel tax cuts are used as shock absorbers for inflation—which may anyway prove hard to quell should energy relief elude us for weeks on end. Our ‘Goldilocks’ run of rapid GDP growth and price stability is clearly at risk, unless the heat of fuel-pump prices in America makes the White House blink and call off the Iran war.

For now, though, the odds of that happening seem long, with the US yet to display signs of material success—say, on easing Iran’s oil clamp—and a defiant regime in Tehran having dug itself in for a battle of attrition. In such a test of pain limits, what each side can endure is a significant factor. Tehran’s deployment of an energy shock, evident in its threat to cargo ships trying to exit the Gulf, has willy-nilly placed oil facilities within the sights of its firepower. Even though overland pipelines could

offer an alternate export path for about a third of the Gulf’s daily output, the region’s oil wells may soon have to tighten their spigots shut as storage capacity runs out and ‘force majeure’ calls multiply. With the price of crude oil so volatile, this is an appropriate moment for both warring sides to look for off-ramps. Since Washington is given to shifting goals as it goes along, it should have little trouble spinning a victory tale, while Tehran could claim any outcome as a win that leaves the Islamic Republic intact. No less relieved would be America’s Gulf allies, wary as they must surely be of being dragged into hostilities with the ravages of Israel’s Gaza war still fresh in public memory.

Investors in India may feel no less trapped by the war’s shockwaves. As with any panic, stock prices could suffer more than a calm analysis would justify. Of late, retail investments via mutual funds have struggled to make up for foreign bulk buyers pulling out of the market. These outflows seem unlikely to reverse without rupee stability, although currency support would require the Reserve Bank of India to stretch the span of time across which it fights volatility. As for local investors, beaten-down share prices may have thrown up bargains for a buy-the-dips game of portfolio addition. But in general, equity investors now need to elongate their investment horizon and focus on stock yields instead of just capital gains. The war might have made the earnings outlook of some companies hazy, but a value orientation would help identify those that are placed well to reward shareholders with profits. Even if it is hard not to track what one’s holdings are worth if encashed right away, focusing on what shares yield as dividends over the years is a good way to ride out this phase.

THEIR VIEW

What the US ‘ashvamedha’ run and AI could mean for the dollar

Investors must track scenarios of how the Iran war and AI use might impact gold and this currency



DEEP MUKHERJEE is a risk management and AI consultant, and a member of the visiting faculty, IIM Ahmedabad and IIM Calcutta.

A subtle twist in the tale: The strength of the US dollar as measured by the Dollar Index (DXY) peaked at 114 in September 2022, a 20-year high. It has been falling since then, hitting 97 on 28 February 2026, the start of the Iran war. DXY measures the dollar’s strength against a basket of currencies. Gold, which was at \$1,700 per ounce in September 2022, has more than tripled to \$5,274 per ounce on 28 February. Over this period, the global de-dollarization narrative of a gradual erosion in the dollar’s use as a reserve currency gained momentum. Globally, central banks have ramped up their gold holdings in preference over dollar assets, strengthening that story.

At the start of the Iran war, many expected gold prices to spike and DXY to barely keep up or even fall. The expectation was driven by DXY-gold dynamics during recent geopolitical stresses. The Ukraine-Russia conflict in February 2022 saw gold rise by 6%, while the dollar rose by a modest 3%. The Israel-Hamas flare-up in October 2023 saw gold rising by 9%, with the dollar remaining flat. The 2024 Israel-Iran conflict saw gold go up by 8% while the dollar fell marginally.

In the first week of the Iran war, a subtle change was observed. As of 6 March, DXY had gained 1.5% over the week, its strongest weekly performance since July 2025. However, gold prices fell by

1%. This may be an inflection point that can weaken the de-dollarization narrative. The future trajectories of gold and the dollar are difficult to predict. However, given this month’s trends, central banks and retail investors loading up on gold investments (as well as gold loan companies) may find it worthwhile not to blindly assume a one-way gold price movement. Central banks, the most cautious of investors, purchased only 5 tonnes of gold in January 2026 while their monthly purchases in 2025 averaged 27 tonnes.

The US ashvamedha run and dollar’s strength: According to Indian legend, an ‘ashvamedha’ exercise is literally a free-rein horse run that marks a kingdom’s domain of political influence by challenging opponents to stop it. Historically, the world’s reserve currency has been issued by a country with the most military might and strongest domestic economy. The UK lost this status to the US over the span of two world wars. The narrative of de-dollarization emerged in the context of a multipolar world. It may have been triggered by the stated US intent of moving away from deploying its military to geopolitical stress zones, as highlighted by the US departure from Afghanistan. Now, the US may have unleashed a modern-day version of the *ashvamedha yagya*. Instead of a horse reaching new territories unobstructed, the US seems to expect its modern firepower to go unchallenged across vast regions. Its actions in Venezuela and Iran are examples. Depending on how the Iran war pans out, it may settle the polarity debate for some time.

The artificial intelligence (AI) angle: A proximate reason for the recent dollar rise may be demand for the US currency created by the war-led surge in the price of crude oil, which is priced in it. However, one should not discount the use of AI in the war to gain an upper hand. Capital inflows into US equities have been driven by the spectacular rise in AI stocks. While AI’s potential is undeniable, it is arguable whether there are

enough use cases to justify the current valuations of these stocks. In the event of an AI bubble burst, we cannot rule out a crash in US equities and subsequent dollar weakness from outflows as investments are liquidated. However, the war has given AI one of the most lucrative use cases: defence. This AI narrative is supportive of the dollar.

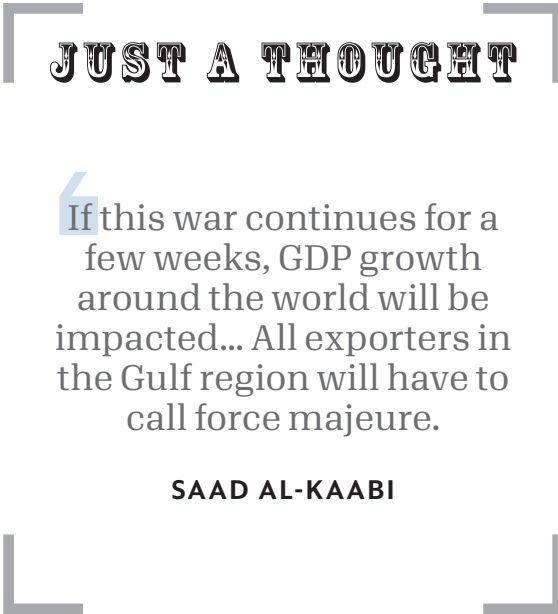
The Iran War-AI outcome matrix: Going forward, the dollar-gold trajectory may be driven by the interaction of the war’s outcome with the success of AI. Assets denominated in the US currency continue to be a safe haven, so knee-jerk reactions to any market crisis cause the dollar to rise. But beyond these reflexes, the dollar may weaken as the effects on the real economy come to bear. Let’s chalk out divergent scenarios to assess the dollar-gold impact. The evolving scenario may be tracked with these as guideposts.

The ‘dollar is back’ scenario: The war ends within a few weeks with the US reaffirming its military and strategic dominance. AI is seen as the outcome decider. Here, crude oil prices correct and the dollar may weaken temporarily but the price of gold could see a significant correction with the multipolarity debate resolved for the near term.

Protracted war with no clear victor: The war drags for a few months. Prolonged uncertainty and elevated energy prices will affect economies, including America’s. The dollar will gradually weaken even if the AI story remains intact. Gold will hold stable and may recover some of its shine.

Extended war with expanded fronts and an AI-story implosion: Among all the scenarios, this would be the worst case for the dollar. It would establish gold as the closest thing to a reserve currency in the short to medium term.

A war that sparks US inflation: This is a wild-card scenario. It would impact US interest rates for sure, but how global capital markets treat dollar bonds is unknown. Some things remain more powerful than AI-guided missiles.



MY VIEW | MUSING MACRO

India’s provident fund payout: A rate that doesn’t bend

AJIT RANADE



is senior fellow with Pune International Centre

Last week, the Central Board of Trustees (CBT) of India’s Employees’ Provident Fund Organisation (EPFO) fixed the fund’s interest-rate payout at 8.25% for 2025-26, the third year in a row at that rate. The decision covers the retirement savings of 73.7 million formal-sector workers. It was received, as usual, with union relief. But can India’s monetary policy work when so large a part of its savings system is immune to it?

In 2025, the Reserve Bank of India (RBI) cut its benchmark repo rate four times by a cumulative 125 basis points from 6.5% to 5.25%, the most aggressive easing cycle since 2019. Consumer price inflation fell to 1.33% in December. The logic of lower rates was clear: reduce the cost of capital and let monetary easing reach businesses, borrowers and consumers. Monetary transmission, however, requires the entire interest rate architecture to move together; it isn’t.

The EPF rate at 8.25% is 300 basis points above the repo rate. Even the 10-year government bond, which carries duration risk

that an EPF depositor does not, yields about 6.7%. The EPF rate exceeds it by 155 basis points. This gap between the market benchmark for long-term sovereign borrowing and a guaranteed administered return on workers’ retirement savings is not a marginal inefficiency but a structural anomaly.

To make the numbers work, the EPFO’s investment sub-committee had to dip into reserves. Retaining the 8.25% rate is projected to produce a deficit of ₹944 crore in what the fund is expected to earn this year against the interest it has decided to pay. This shortfall will be filled by drawing down the surplus carried over from prior years. The deficit has been growing. The four-decade low of the EPF rate was 8.10% in 2021-22. Since then, it has only moved up or stayed put. The ratchet works in only one direction.

This would matter less if the EPFO operated on the margins of India’s savings system. Its corpus stands at about ₹31 trillion. Total outstanding balances in small savings instruments—Public Provident Fund (PPF), National Savings Certificate, Sukanya Samriddhi Yojana and Senior Citizens Savings Scheme—amount to roughly ₹38 trillion and are projected to grow next year. Life Insurance Corporation manages a corpus of around ₹60 trillion, much of it in guaranteed-

return investment structures. The administered savings universe is not a carve-out. It is the bedrock of Indian household finance.

The consequences run deeper than the EPFO balance sheet. When a pool this large earns 8.25% on a guaranteed tax-efficient basis, it sets a floor for the entire fixed-income investment universe. Banks cannot aggressively cut deposit rates when formal-sector workers have a safer, better-paying alternative. Corporate bond issuers must price issues above that floor. How this affects expectations is perhaps more damaging: if the government’s own retirement fund signals 8.25% as a reasonable return, investors will discount corporate bonds, infrastructure finance and long-duration private investment against that benchmark. Rate cuts work through expectations. A 300 basis point gap between the policy rate and a government guarantee creates the kind of dissonance that prevents monetary easing from translating into private investment.

Since 2001, four separate committees

headed by RBI Deputy Governors have recommended linking administered rates to a formula anchored in market benchmarks—typically, a rolling average of G-Sec yields with a modest and transparent spread. The logic is not that workers should earn less, but that rates should move with markets, so that monetary signals can travel through the full savings system. That recommendation was adopted partially for small savings—and shelved each time the formula produced inconvenient results. The EPFO is not even subject to the partial formula.

The contrast with other economies is instructive. Singapore’s Central Provident Fund pegs its Special Account rate to the 10-year government security yield plus 1%; Malaysia’s EPF declares dividends based on actual investment performance; Switzerland calibrates its minimum pension rate by market conditions. Even in countries that administer returns on mandatory savings, the norm is formula-linkage to a market benchmark and not a rate fixed by a politically influential body.

That political economy also shows in the rate differential between EPF and PPF, which is open to ordinary citizens and earns 7.1%, 115 basis points less than the EPF rate. This gap reflects no difference in risk: both are sovereign-guaranteed instruments. It reflects a difference in representation. EPF members have elected trade union officials to sit on the CBT, with a formal voice in the rate decision. PPF investors have none.

The governance structure compounds the problem. The EPF rate is set by the CBT under the Union labour ministry and is then ratified by the finance ministry. This means that the finance ministry concurs with a decision that undermines RBI’s rate cuts.

The question for policymakers is not whether workers deserve good returns—they do. It is whether an artificially high rate funded from reserves and uncoupled from any market formula is a sustainable anchor for such a significant chunk of our savings system. India’s monetary policy committee operates with independence and rigour, but it lacks a coordination mechanism to ensure that the savings system responds, even with a lag, to its signals.

RBI cut rates by 125 basis points last year. The EPF rate did not budge. This gap is a policy inconsistency hiding in plain sight.

The EPFO’s rate of interest must track market dynamics for it not to weaken monetary policy transmission

Niggles of the screen-age body

Youngsters in their early 20s are reporting posture-related issues caused by lack of movement and long screen hours

Anushka Patodia
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It usually announces itself at inconvenient moments—halfway through a work call, while tying your hair, when you turn your head to reverse the car and feel a dull pull you can't quite ignore. Neck stiffness used to feel like an adult problem, something you earned after decades of bad posture or long commutes. Now, physiotherapists and orthopaedic clinics in metro cities are seeing it show up far earlier. Youngsters in their early 20s; professionals at their first jobs; bodies that work just fine otherwise are all going through the so-called 'tech neck'.

What makes it difficult to pre-empt is that it's rarely dramatic. There's no single injury, no moment you can point to—just hours spent slightly forward, slightly hunched, slightly still—day after day. What the body is reacting to isn't the screen itself, doctors say. It's the stillness.

"The two most common causes of neck stiffness in young adults nowadays are work and incorrect sleeping position," says Dr Sahil Gaba, senior consultant and head of arthroplasty and robotic hip and knee surgery at Amrita Hospital, Faridabad. "Prolonged use of a computer placed at the wrong level and without frequent breaks can lead to spasm of neck muscles. This is referred to as 'IT disease'."

For Kajal Advani, a 33-year-old corporate lawyer in Mumbai, the discomfort started early. "I was about 22 or 23, a couple of years into my first job," she says. "It began with headaches and I genuinely thought it was a migraine." It took Advani years to connect the dots that it was long desk hours and little movement that were the cause. Somehow, painkillers had become a coping mechanism rather than a solution. "You don't take it seriously



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because of your age. You think your body can handle it," she says. Kolkata-based freelancer Sripriya Khaitan, 35, had a similar trajectory. Shoulder stiffness crept in two to three years ago. "I blamed my mattress, my pillow, sleeping wrong," she says. Stretching helped briefly and hot and cold packs offered momentary relief but nothing fixed the problem. "It affected my mood more than I expected," she admits. "I was more irritable through the day and daily chores felt harder to complete."

ZOOM SHOULDERS IN THE 20S

According to Mumbai-based sports and musculoskeletal physiotherapist Dr Kanchi Vora, what's striking isn't just the volume of patients, it's their age. "A decade ago, posture-related complaints were something we saw in people in their 40s or 50s," she says. "Now it's the 20s and

early 30s." Back then, neck pain often came with degenerative changes. Today, it's far more likely to be linked to sedentary routines. Terms like "text neck" and "Zoom shoulders" exist because they describe a real biomechanical pattern. When the head tilts forward for long periods, the load on the cervical spine

increases dramatically. Muscles get fatigued, spasms follow, and, over time, stiffness becomes the baseline.

Even people who exercise regularly aren't exempt. "Low mobility, poor warm-ups, and lack of movement variety all contribute to tech neck," says Vora. "You can be active and still have a body that's underprepared for how static your day actually is."

Most early neck discomfort can be managed at home with gentle stretches, mobility work, and correcting posture, says Gaba. But some signs shouldn't be

ignored. Pain that doesn't settle with basic stretches; discomfort radiating down the shoulder or arm; a tingling or numbness in the fingers; and vertigo or nausea accompanying neck stiffness all warrant medical evaluation and, in some cases, imaging. "If the stiffness is getting worse despite rest and gentle stretching at home, you should consult an orthopaedic surgeon," he says. "And if it is associated with other symptoms like fever, numbness or tingling in the arm and hand, or weight loss, it may need further evaluation," notes Gaba.

POSTURE CORRECTION IS ONLY THE STARTING POINT

Standing desks, ergonomic chairs and posture belts have become workplace staples but they're often oversold. "Posture correction is a good starting point," says Mumbai-based movement and mobility coach Disha Mirchandani. "But it's not enough on its own." The deeper issue, she explains, is what prolonged stillness does to the body over time. Muscles weaken, connective tissue tightens, and joint range reduces. This is not because of injury, but

How to reset the tech neck

If posture correction is the starting point, functional mobility is the long game, says movement and mobility coach Disha Mirchandani. Here are her tips to prevent a tech neck:

1. Move every 45-60 minutes

The biggest trigger for tech-neck isn't bad posture alone, it's holding any posture for too long. Even sitting "correctly" for hours fatigues muscles and stiffens joints. Aim to move every 45-60 minutes. Walk for two minutes. Roll your shoulders. Turn your head from side to side, or even just go up and down on your toes a few times. These resets matter more than sitting perfectly all day.

2. Build movement variety

Most desk jobs lock the body into one direction: forward-facing and slightly hunched. Functional mobility works by restoring variety. Try simple movements like neck rotations, side tilts, shoulder rolls and gentle spinal twists while seated. They keep joints lubricated and muscles responsive.

3. Strengthen the back muscles

Weak upper-back muscles and a

stiff mid-back often contribute to neck and shoulder pain. Exercises like scapular retractions, chin tucks and light resistance work help stabilise the neck by strengthening the muscles that support it.

4. Warm-ups and cool-downs

Pain often shows up not because people don't exercise, but because they move abruptly between extremes—long hours of sitting followed by intense workouts or sudden rest. Five minutes of gentle mobility before and after exercise, or at the end of the workday, helps the body shift gears without strain.

5. Fix the setup

Ergonomics still matter: screens at eye level, desks and chairs adjusted to height, elbows close to the body, wrists neutral while typing. But remember, furniture doesn't fix bodies. Movement does.

6. Take early signals seriously

Morning stiffness, recurring headaches, tingling in fingers, pain that travels beyond the neck are warning signs. Address them early to prevent longer-term cervical issues.

because of lack of use.

"This is where pain creeps in," she says. "Not from sitting wrong once, but from sitting the same way for too long, every day." Functional mobility, in practical terms, is the body's ability to do daily tasks such as sitting, standing, walking, climbing stairs and carrying groceries comfortably, without pain or compensation. When work-from-home routines shrink movement variety, even basic actions start to feel like effort.

Both Khaitan and Advani say the biggest shift came from recognising that discomfort wasn't random; it was cumulative. "Looking back, it was obvious," Khaitan says. "More screen time, less movement.

I just didn't want to admit it." Advani agrees. "Sitting in one position for hours, with no stretching and no breaks... ultimately, it all adds up."

The screen-age body isn't fragile, but it does keep score. And when pain shows up in your 20s, it's signalling a mismatch between how much your mind works and how little your body moves. The new wave of physiotherapy and movement practice suggests fewer hours without interruption, more varied movement, and more attention to how the body feels while the work gets done. Ultimately, the answer to phone neck isn't abandoning screens. It's learning how—and how often—to move away from them.

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